

Samsung Biologics Co., Ltd. and Subsidiaries

**Condensed Consolidated Interim Financial Statements
March 31, 2026 and 2025**

Samsung Biologics Co., Ltd. and Subsidiaries

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March 31, 2026 and 2025

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Independent Auditors' Review Report

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of
Samsung Biologics Co., Ltd

Reviewed consolidated financial statements

We have reviewed the accompanying condensed consolidated interim financial statements of Samsung Biologics Co., Ltd. and its subsidiaries (the "Group"), which comprise the condensed consolidated interim statement of financial position as of March 31, 2026, the condensed consolidated interim statements of comprehensive income, changes in equity and cash flows for the three-month periods ended March 31, 2026 and 2025 and notes, including material accounting policies.

Management's responsibility

Management is responsible for the preparation and fair presentation of these condensed consolidated interim financial statements in accordance with Korean International Financial Reporting Standards ("K-IFRS") No.1034 'Interim Financial Reporting', and for such internal control as management determines is necessary to enable the preparation of condensed consolidated interim financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' review responsibility

Our responsibility is to issue a report on these condensed consolidated interim financial statements based on our reviews.

We conducted our reviews in accordance with the Review Standards for Quarterly and Semiannual Financial Statements established by the Securities and Futures Commission of the Republic of Korea. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Korean Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying condensed consolidated interim financial statements referred to above do not present fairly, in all material respects, in accordance with K-IFRS No.1034, 'Interim Financial Reporting'.

Emphasis of matter

The following matter may be helpful to the readers in their understanding of the condensed consolidated interim financial statements: Administrative lawsuit against the sanctions imposed by the Securities and Futures Commission

As described in Note 36 to the condensed consolidated interim financial statements, the Securities and Futures Commission (the "SFC") resolved to impose measures on the Group in relation to alleged errors in accounting treatment for the Group's investment in Samsung Bioepis Co., Ltd. in the Group's consolidated financial statements for the period from 2012 to the first half of 2018.

The Group filed an application with the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and subsequently received a Court decision granting the suspension. In relation to this, the appeal and re-appeal filed by SFC were dismissed by the Seoul High Court and the Supreme Court, respectively. The Group submitted claims for cancellation of the measures and related administrative lawsuit is in progress. It is not possible to predict the outcome.



Other matters

The consolidated statement of financial position of the Group as of December 31, 2025, and the related consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, which are not accompanying this report, were audited by us in accordance with Korean Standards on Auditing and our report thereon, dated February 25, 2026, expressed an unqualified opinion. The accompanying condensed consolidated statement of financial position of the Group as of December 31, 2025, presented for comparative purposes, is not different from that audited by us from which it was derived in all material respects.

The procedures and practices utilized in the Republic of Korea to review such condensed consolidated interim financial statements may differ from those generally accepted and applied in other countries.

KPMG Samjong Accounting Corp.

Seoul, Korea
May 13, 2026

This report is effective as of May 13, 2026, the review report date. Certain subsequent events or circumstances, which may occur between the review report date and the time of reading this report, could have a material impact on the accompanying condensed consolidated interim financial statements and notes thereto. Accordingly, the readers of the review report should understand that the above review report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Financial Position
March 31, 2026 and December 31, 2025

(in Korean won)

	Notes	March 31, 2026	December 31, 2025
Assets			
Current assets			
Cash and cash equivalents	5,6,32,33	₩ 520,363,074,241	₩ 148,851,266,520
Short-term financial instruments	5,33	1,100,000,000,000	1,307,174,500,000
Trade and other receivables	5,8,31,33	566,425,164,819	676,466,918,976
Inventories	10,25	2,291,555,828,004	2,128,164,162,722
Contract assets	9,33	126,323,507,856	103,627,211,536
Other current financial assets	5,11,33	32,590,907,408	29,057,433,784
Other current assets	12	23,491,394,259	15,025,022,369
		<u>4,660,749,876,587</u>	<u>4,408,366,515,907</u>
Non-current assets			
Long-term financial instruments	5,7,33	239,040,657	226,947,395
Investments in associates	4,13,31	73,485,620,421	78,098,117,569
Property, plant and equipment	14	6,463,354,324,394	6,028,651,127,383
Intangible assets	15	75,671,537,098	60,193,270,276
Right-of-use asset	19	284,956,067,220	8,880,844,158
Net defined benefit assets	21	939,486,728	23,295,787,579
Contract assets	9,33	281,006,326,178	307,972,154,079
Deferred tax assets	28	143,229,283,255	132,836,645,814
Other non-current financial assets	5,11,33	10,223,739,205	10,627,367,793
Other non-current assets	12	1,144,280,695	1,593,198,884
		<u>7,334,249,705,851</u>	<u>6,652,375,460,930</u>
Total assets		<u>₩ 11,994,999,582,438</u>	<u>₩ 11,060,741,976,837</u>

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Financial Position, Continued
March 31, 2026 and December 31, 2025

(in Korean won)

	Notes	March 31, 2026	December 31, 2025
Liabilities			
Current liabilities			
Trade and other payables	5,17,21,30,31,33	₩ 602,385,237,115	₩ 486,387,276,811
Emission liability	18	551,917,600	551,917,600
Debentures	5,16,30,32,33	319,798,187,404	319,712,704,765
Contract liabilities	9,31	166,400,862,533	161,849,008,321
Lease liabilities	5,19,32,33	26,755,115,906	7,257,974,993
Current tax liabilities	28	380,499,374,341	355,699,920,176
Other current liabilities	9,20,31	1,243,623,354,617	1,201,458,529,835
		<u>2,740,014,049,516</u>	<u>2,532,917,332,501</u>
Non-current liabilities			
Trade and other payables	5,17,21,31,33	22,940,189,970	23,361,343,268
Debentures	5,16,30,32,33	599,100,708,436	599,011,716,516
Contract liabilities	9,31	347,530,541,328	377,588,143,176
Lease liabilities	5,19,32,33	248,834,072,026	1,112,062,611
Deferred tax liabilities	28	30,789,584,200	-
Other non-current liabilities	9,20,31	82,954,701,227	75,640,730,780
		<u>1,332,149,797,187</u>	<u>1,076,713,996,351</u>
Total liabilities		<u>4,072,163,846,703</u>	<u>3,609,631,328,852</u>
Equity			
Equity Attributable to Owners of Parent		7,922,835,735,735	7,451,110,647,985
Share capital	1,22	115,727,377,500	115,727,377,500
Share premium	22	3,391,926,183,382	3,391,926,183,382
Capital adjustments	22	(2,907,695,001,592)	(2,907,695,001,592)
Accumulated other comprehensive loss	21,22	(17,328,929,018)	(19,808,592,095)
Retained earnings	22	7,340,206,105,463	6,870,960,680,790
Total equity		<u>7,922,835,735,735</u>	<u>7,451,110,647,985</u>
Total liabilities and equity		<u>₩ 11,994,999,582,438</u>	<u>₩ 11,060,741,976,837</u>

The above consolidated interim statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Comprehensive Income
Three-Month periods Ended March 31, 2026 and 2025

			2026	2025
(in Korean won)	Notes			
Revenue	4,23,31	₩	1,257,119,188,891	₩ 999,544,646,065
Cost of sales	9,10,23,25,31		<u>(577,208,249,899)</u>	<u>(457,551,058,854)</u>
Gross profit			679,910,938,992	541,993,587,211
Selling, general and administrative expenses	24,25,31		<u>(99,158,358,168)</u>	<u>(111,754,049,762)</u>
Operating profit			580,752,580,824	430,239,537,449
Other income	26,31		2,455,061,264	719,739,680
Other expenses	26,31		(14,735,337)	(1,587,700,213)
Finance income	5,27		84,619,256,279	38,710,791,591
Finance costs	5,27		(22,106,807,607)	(44,895,088,689)
Share of profit (loss) of associates	13		<u>(5,112,199,648)</u>	<u>15,914,676,542</u>
Profit before income tax			640,593,155,775	439,101,956,360
Income tax expense	28		<u>(171,347,731,102)</u>	<u>(107,768,895,707)</u>
Profit from continuing operations		₩	<u>469,245,424,673</u>	₩ <u>331,333,060,653</u>
Profit from discontinued operations	34		-	44,220,490,276
Profit for the period		₩	<u>469,245,424,673</u>	₩ <u>375,553,550,929</u>
Profit attributable to:				
Owners of the Parent Company		₩	469,245,424,673	₩ 375,553,550,929
Non-controlling interests			-	-
Other comprehensive income (loss)				
<i>Items that will not be reclassified to profit or loss</i>				
Remeasurements of net defined benefit liabilities (assets)	21,22	₩	(884,890,159)	₩ (383,057,436)
<i>Items that may be subsequently reclassified to profit or loss</i>				
Foreign currency translation gain (loss)	22		<u>3,364,553,236</u>	<u>262,011,774</u>
Other comprehensive income for the period, net of tax			<u>2,479,663,077</u>	<u>(121,045,662)</u>
Total comprehensive income for the period		₩	<u>471,725,087,750</u>	₩ <u>375,432,505,267</u>
Total comprehensive income for the period is attributable to:				
Owners of the Parent Company		₩	471,725,087,750	₩ 375,432,505,267
Non-controlling interest			-	-
Earnings per share				
Basic earnings and diluted earnings per share from continuing operations	29	₩	10,148	₩ 4,655
Basic earnings and diluted earnings per share from discontinued operations	29		-	621

The above consolidated interim statements of comprehensive income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Changes in Equity
Three-Month periods Ended March 31, 2026 and 2025

(in Korean won)

	Notes	Share capital	Share premium	Capital adjustments	Accumulated other comprehensive income (loss)	Retained earnings	Non-controlling interests	Total
Balance at January 1, 2025		₩ 177,935,000,000	₩ 5,663,111,352,594	₩ -	₩ (22,978,910,773)	₩ 5,086,608,620,197	₩ -	₩ 10,904,676,062,018
Total comprehensive income								
Profit for the period		-	-	-	-	375,553,550,929	-	375,553,550,929
Other comprehensive income								
Remeasurements of net defined benefit liabilities (assets)	21,22	-	-	-	(383,057,436)	-	-	(383,057,436)
Foreign currency translation gain	22	-	-	-	262,011,774	-	-	262,011,774
Total comprehensive income for the period		-	-	-	(121,045,662)	375,553,550,929	-	375,432,505,267
Balance at March 31, 2025		₩ 177,935,000,000	₩ 5,663,111,352,594	₩ -	₩ (23,099,956,435)	₩ 5,462,162,171,126	₩ -	₩ 11,280,108,567,285
Balance at January 1, 2026		₩ 115,727,377,500	₩ 3,391,926,183,382	₩ (2,907,695,001,592)	₩ (19,808,592,095)	₩ 6,870,960,680,790	₩ -	₩ 7,451,110,647,985
Total comprehensive income								
Profit for the period		-	-	-	-	469,245,424,673	-	469,245,424,673
Other comprehensive income								
Remeasurements of net defined benefit liabilities (assets)	21,22	-	-	-	(884,890,159)	-	-	(884,890,159)
Foreign currency translation gain	22	-	-	-	3,364,553,236	-	-	3,364,553,236
Total comprehensive income for the period		-	-	-	2,479,663,077	469,245,424,673	-	471,725,087,750
Balance at March 31, 2026		₩ 115,727,377,500	₩ 3,391,926,183,382	₩ (2,907,695,001,592)	₩ (17,328,929,018)	₩ 7,340,206,105,463	₩ -	₩ 7,922,835,735,735

The above consolidated interim statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries
Consolidated Interim Statements of Cash Flows
Three-Month periods Ended March 31, 2026 and 2025

(in Korean won)	Notes	2026		2025	
Cash flows from operating activities					
Cash flows generated from operating activities	32	₩	913,648,710,395	₩	840,103,084,598
Interest received			17,587,528,411		15,269,848,045
Interest paid			(6,970,312,203)		(10,315,775,109)
Income tax paid			(156,582,527,370)		(162,075,686,400)
Net cash inflow from operating activities			767,683,399,233		682,981,471,134
Cash flows from investing activities					
Decrease in short-term financial instruments			1,757,311,022,200		1,500,000,000,000
Disposal of property, plant and equipment	14		-		624,898,331
Increase in short-term financial instruments			(1,550,000,000,000)		(1,100,000,000,000)
Increase in long-term financial instruments			(5,556)		(5,515)
Increase in financial assets at fair value through profit or loss			-		(588,239,232)
Acquisition of property, plant and equipment	14		(85,180,371,572)		(624,147,395,348)
Acquisition of intangible assets	15		(6,344,217,177)		(25,463,851,408)
Business combination			(515,592,010,075)		-
Acquisition of investments in associates and joint ventures	13,31		(499,702,500)		(647,460,000)
Net cash outflow from investing activities			(400,305,284,680)		(250,222,053,172)
Cash flows from financing activities					
Proceeds from long-term borrowings	16,32		-		45,000,000,000
Repayment of current portion of long-term borrowings	16,32		-		(45,000,000,000)
Repayment of lease liabilities	19,32		(2,216,371,123)		(69,803,117,527)
Net cash outflow from financing activities			(2,216,371,123)		(69,803,117,527)
Net increase in cash and cash equivalents			365,161,743,430		362,956,300,435
Cash and cash equivalents at the beginning of the period			148,851,266,520		391,221,617,203
Effects of exchange rate changes on cash and cash equivalents			6,350,064,291		(2,118,108,067)
Cash and cash equivalents at the end of the period		₩	520,363,074,241	₩	752,059,809,571

The above consolidated interim statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Interim Financial Statements

March 31, 2026 and 2025 and December 31, 2025

1. General Information

Samsung Biologics Co., Ltd. (the "Company" or the "Parent Company") was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in biopharmaceutical manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, Republic of Korea. The Company was listed on the securities market on November 10, 2016. Following the spin-off completed on November 1, 2025, the Company's share capital amounted to ₩ 115,727 million as of the end of the period.

The shareholders of the Company as of March 31, 2026, are as follows:

Shareholder	Number of shares (in shares)	Percentage of ownership (%)
Samsung C&T Corporation	19,932,350	43.06
Samsung Electronics Co., Ltd.	14,449,944	31.22
Others	11,908,657	25.72
	46,290,951	100.00

Samsung Biologics Co., Ltd. (the "Company", a controlling company in accordance with K-IFRS No. 1110 Consolidated Financial Statements) and subsidiaries (collectively referred to as the "Group") prepared the consolidated interim financial statements accounting for the investments in associates using the equity method.

Samsung Biologics Co., Ltd. and Subsidiaries

Notes to the Consolidated Interim Financial Statements

March 31, 2026 and 2025 and December 31, 2025

1.1 Consolidated Subsidiaries

Details of the consolidated subsidiaries as at March 31, 2026 and December 31, 2025 are as follows:

		Percentage ownership (%)			
	Location	March 31, 2026	December 31, 2025	Main business	Fiscal year-end
SAMSUNG BIOLOGIC AMERICA Inc.	USA	100.00	100.00	Other services	December
Human Genome Sciences, Inc. ¹	USA	100.00	-	Pharmaceutical manufacturing	December

¹ On March 31, 2026, the Company acquired a 100% equity interest in Human Genome Sciences, Inc.

Summarized financial information for consolidated subsidiaries as at and for the three-month period ended March 31, 2026, is as follows:

(in Korean won)

	March 31, 2026					
	Assets	Liabilities	Equity	Sales	Profit for the period	Total comprehensive income
Samsung Biologics America, Inc.	₩ 596,163,464,710	₩ 50,123,678,451	₩ 546,039,786,259	₩ 6,299,379,535	₩ 187,943,520	₩ 3,552,496,756
Human Genome Sciences, Inc	832,402,831,094	303,896,123,882	528,506,707,212	-	-	-

Summarized financial information for consolidated subsidiaries as at December 31, 2025 and for the three-month period ended March 31, 2025, is as follows:

(in Korean won)

	December 31, 2025			March 31, 2025		
	Assets	Liabilities	Equity	Sales	Profit for the period	Total comprehensive income (loss)
Samsung Biologics America, Inc.	₩ 18,361,304,615	₩ 3,044,015,112	₩ 15,317,289,503	₩ 3,462,533,248	₩ 16,447,664	₩ (19,027,563)
SAMSUNG BIOEPIS Co., Ltd. ¹	-	-	-	400,596,177,576	114,641,443,065	115,241,829,035

¹ Consolidated financial information of SAMSUNG BIOEPIS Co., Ltd., and its subsidiaries.

1.2 Changes in Scope for Consolidation

Entities included from consolidation during the current period

	Reason
Human Genome Sciences, Inc.	Business Combination

Samsung Biologics Co., Ltd. and Subsidiaries
Notes to the Consolidated Interim Financial Statements
March 31, 2026 and 2025 and December 31, 2025

2. Basis of Preparation

2.1 Adoption of the K-IFRS

The Group maintains its accounting records in Korean won and prepares statutory financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (K-IFRS). The accompanying condensed consolidated interim financial statements have been restructured and translated into English from the Korean language financial statements.

The Group's condensed consolidated interim financial statements for the three-month periods ended March 31, 2026, have been prepared in accordance with K-IFRS No. 1034 '*Interim Financial Reporting*'. These condensed consolidated interim financial statements do not include all of the information presented in the annual financial statements. Therefore, these condensed consolidated interim financial statements should be read in conjunction with the annual consolidated financial statements as of and for the year ended December 31, 2025.

These condensed consolidated interim financial statements have been prepared in accordance with K-IFRS which is effective or early adopted as of March 31, 2026. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

The condensed consolidated interim financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value.

2.2 Use of Estimates and Judgements

The preparation of the condensed consolidated interim financial statements in conformity with K-IFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

In preparing these condensed consolidated interim financial statements, the significant judgments made by management in applying the Group's accounting policies and the key sources of estimating uncertainty were the same as those that applied to the consolidated annual financial statements as of and for the year ended December 31, 2025, except for the estimation used to determine income tax expense.

Samsung Biologics Co., Ltd. and Subsidiaries
Notes to the Consolidated Interim Financial Statements
March 31, 2026 and 2025 and December 31, 2025

3. Material Accounting Policies

The important accounting policies and calculation methods applied in the preparation of the condensed consolidated interim financial statements are the same as those applied in the preparation of the previous consolidated financial statements, except for changes due to the application of the enacted and revised standards and the matters explained in 3.3.

3.1 New and amended standards and interpretations adopted by the Group

The Group has applied the following standards and interpretations for the first time for their annual reporting period commencing January 1, 2026.

(a) K-IFRS No. 1107 'Financial Instruments: Disclosures' and Amendments to K-IFRS No. 1109 'Financial Instruments'

The main amendments are as follows:

- Permit an entity, when certain baseline are met, to deem a financial liability to have been settled (derecognized) via an electronic payment system before the settlement date.
- Clarify further guidance for assessing whether a financial asset meet criteria for consisting solely of payments of principal and interest.
- Require disclosures in the financial statement, for each class of financial instrument, of the effect on the entity and the exposure to which the entity is subject from contractual terms that change the timing or amount of contractual cash flows.
- Require additional disclosures for equity instruments measured at fair value through other comprehensive income.

The amendment to the standard does not have a significant impact on the condensed consolidated interim financial statements.

(b) Annual Improvements to K-IFRS Volume 11

The main amendments are as follows:

- K-IFRS No. 1101 'First-time Adoption of Korean International Financial Reporting Standards': application of hedge accounting on first-time adoption of K-IFRS.
- K-IFRS No. 1107 'Financial Instruments: Disclosures': gains or losses on derecognition, implementation guidance.
- K-IFRS No. 1109 'Financial Instruments': accounting for derecognition of lease liabilities and definition of transaction price.
- K-IFRS No. 1110 'Consolidated Financial Statements': determination of a de facto agent.
- K-IFRS No. 1007 'Statement of Cash Flows': cost method.

The amendment to the standard does not have a significant impact on the condensed consolidated interim financial statements.

Samsung Biologics Co., Ltd. and Subsidiaries
Notes to the Consolidated Interim Financial Statements
March 31, 2026 and 2025 and December 31, 2025

(c) Amendments to K-IFRS No. 1107 'Financial Instruments: Disclosures' and K-IFRS No. 1109 'Financial Instruments'

The main amendments are as follows:

- Expansion of the application of hedge accounting to virtual power purchase agreements (Virtual PPAs)
- Introduction of disclosure requirements for nature-dependent power contracts that meet specified characteristics

The amendment to the standard does not have a significant impact on the condensed consolidated interim financial statements.

3.2 New standards and interpretations not yet adopted by the Group

The following new accounting standards and interpretations had been issued but were not mandatory for annual reporting periods ending on December 31, 2026 reporting periods and have not been early adopted by the Group.

K-IFRS No. 1118 'Presentation and Disclosures in Financial Statements', promulgation

The Group is currently assessing the impact of this promulgation on the consolidated financial statements. This standard is effective for fiscal years beginning on or after 1 January 2027, with earlier application permitted. The main provisions are as follows:

- Presentation of specified categories and defined subtotals in the statement of profit or loss
- Provision of disclosures related to management-defined performance measures (MPMs) in the notes to the financial statements
- Improvements to aggregation and disaggregation

The Group has not yet adopted K-IFRS 1118 and is currently evaluating the impact of the standard on its consolidated financial statements. The Group has established a transition plan and is on track to prepare its first consolidated interim financial statements for the period ending March 31, 2027, and annual consolidated financial statements for the year ending December 31, 2027, in accordance with K-IFRS 1118.

3.3 Income taxes

Income tax expense for the interim period is recognized based on management's best estimate of the weighted average annual income tax rate expected for the entire financial year. The estimated average annual tax rate is applied to the pre-tax income.

Samsung Biologics Co., Ltd. and Subsidiaries
Notes to the Consolidated Interim Financial Statements
March 31, 2026 and 2025 and December 31, 2025

4. Operating Segments

- (a) The Group discloses segment-related information in the condensed consolidated interim financial statements in accordance with K-IFRS No. 1108, and the Group's operating segment is a single CDMO (Contract Development and Manufacturing Organization) segment. Management responsible for the Group's strategic decision-making determines the Group's operating segment.

Segment information by operating segment for the current and prior periods has been prepared after allocation of the internal transaction adjustments to operating profit.

- (b) Information for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Total sales	₩	1,263,418,568,426	₩	1,003,007,179,313
Intercompany sales		(6,299,379,535)		(3,462,533,248)
Net sales		1,257,119,188,891		999,544,646,065
Depreciations		(88,129,577,404)		(77,893,954,220)
Amortization of intangible assets		(4,008,427,726)		(3,677,234,118)
Operating profit		580,752,580,824		430,239,537,449

- (c) Information on segment assets and liabilities as of March 31, 2026 and December 31, 2025 is as follows:

<i>(in Korean won)</i>		March 31, 2026		December 31, 2025
Reportable segment asset	₩	11,994,999,582,438	₩	11,060,741,976,837
Investments in associates		73,485,620,421		78,098,117,569
Reportable segment Liability		4,072,163,846,703		3,609,631,328,852
Additions to non-current assets ¹		838,388,175,916		983,297,436,633

¹ The amount excludes financial instruments, and investment in associates.

- (d) Details of customers, who take over 10% of the Group's total revenue for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Client A	₩	275,226,530,034	₩	101,867,873,787
Client B		179,574,377,637		82,733,998,044
Client C		170,362,471,296		107,247,298,718
Client D		6,196,755,374		343,536,621,360
Client E		3,571,533,853		119,382,411,649

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(e) Geographic revenue for the three-month periods ended March 31, 2026 and 2025, is as follows:

<i>(in Korean won)</i>	2026	2025
Domestic	₩ 306,951,319,920	₩ 129,803,513,858
Europe	686,753,543,843	375,118,204,176
USA	250,969,808,026	489,253,143,533
Other	12,444,517,102	5,369,784,498
	<u>₩ 1,257,119,188,891</u>	<u>₩ 999,544,646,065</u>

(f) The amount of non-current assets by region as at March 31, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026	December 31, 2025
Domestic ¹	₩ 6,367,541,860,551	₩ 6,406,271,022,280
Overseas ¹	738,590,675,034	1,019,572,500
	<u>₩ 7,106,132,535,585</u>	<u>₩ 6,407,290,594,780</u>

¹ The amount excludes financial instruments, and investment in associates and others.

5. Financial Instruments

(a) Financial assets

Categories of financial assets measured at amortized cost as at March 31, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026	December 31, 2025
Current assets		
Cash and cash equivalents	₩ 520,363,074,241	₩ 148,851,266,520
Short-term financial instruments	1,100,000,000,000	1,307,174,500,000
Trade and other receivables ¹	565,382,721,300	667,411,901,892
Deposits provided	32,590,907,408	29,057,433,784
	<u>2,218,336,702,949</u>	<u>2,152,495,102,196</u>
Non-current assets		
Long-term financial instruments	239,040,657	226,947,395
Long-term borrowings	32,235,420	30,563,370
Deposits provided	10,191,503,785	10,596,804,423
	<u>10,462,779,862</u>	<u>10,854,315,188</u>
	<u>₩ 2,228,799,482,811</u>	<u>₩ 2,163,349,417,384</u>

¹ The amounts exclude the tax-related receivables and receivables due from employees.

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(b) Financial liabilities

Categories of financial liabilities as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)

		March 31, 2026		
		Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩	493,492,453,519	₩ -	₩ 493,492,453,519
Debentures		319,798,187,404	-	319,798,187,404
Lease liabilities		-	26,755,115,906	26,755,115,906
		813,290,640,923	26,755,115,906	840,045,756,829
Non-current liabilities				
Debentures		599,100,708,436	-	599,100,708,436
Lease liabilities		-	248,834,072,026	248,834,072,026
		599,100,708,436	248,834,072,026	847,934,780,462
	₩	1,412,391,349,359	₩ 275,589,187,932	₩ 1,687,980,537,291

(in Korean won)

		December 31, 2025		
		Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩	271,638,078,349	₩ -	₩ 271,638,078,349
Debentures		319,712,704,765	-	319,712,704,765
Lease liabilities		-	7,257,974,993	7,257,974,993
		591,350,783,114	7,257,974,993	598,608,758,107
Non-current liabilities				
Debentures		599,011,716,516	-	599,011,716,516
Lease liabilities		-	1,112,062,611	1,112,062,611
		599,011,716,516	1,112,062,611	600,123,779,127
	₩	1,190,362,499,630	₩ 8,370,037,604	₩ 1,198,732,537,234

¹ The amounts exclude the tax-related payables and accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(c) *The fair values of financial instruments*

The fair values of financial instruments, together with the carrying amounts shown in the statement of financial position as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)

	March 31, 2026		December 31, 2025	
	Carrying amount ¹	Fair value	Carrying amount ¹	Fair value
Assets measured at amortized cost				
Cash and cash equivalents	₩ 520,363,074,241	₩ 520,363,074,241	₩ 148,851,266,520	₩ 148,851,266,520
Short-term financial instruments	1,100,000,000,000	1,100,000,000,000	1,307,174,500,000	1,307,174,500,000
Long-term financial instruments	239,040,657	239,040,657	226,947,395	226,947,395
Trade and other receivables	565,382,721,300	565,382,721,300	667,411,901,892	667,411,901,892
Borrowings	32,235,420	32,235,420	30,563,370	30,563,370
Deposits provided	42,782,411,193	42,782,411,193	39,654,238,207	39,654,238,207
	<u>₩ 2,228,799,482,811</u>	<u>₩ 2,228,799,482,811</u>	<u>₩ 2,163,349,417,384</u>	<u>₩ 2,163,349,417,384</u>
Liabilities carried at amortized cost				
Trade and other payables	493,492,453,519	493,492,453,519	271,638,078,349	271,638,078,349
Debentures	918,898,895,840	918,898,895,840	918,724,421,281	918,724,421,281
	<u>₩ 1,412,391,349,359</u>	<u>₩ 1,412,391,349,359</u>	<u>₩ 1,190,362,499,630</u>	<u>₩ 1,190,362,499,630</u>

¹ The Group used the carrying amount as a proxy for fair value because it is a reasonable approximation of fair value.

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(d) *Net gains or losses by category of financial instruments*

Net gains or losses on each category of financial instruments for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)	2026		
	Interest income (expenses)	Other income (expenses) ¹	Net income (loss)
Financial assets at amortized cost	₩ 13,974,055,753	₩ 62,747,472,283	₩ 76,721,528,036
Financial liabilities at amortized cost	(7,104,539,035)	(6,857,706,374)	(13,962,245,409)
Other liabilities	(41,836,982)	-	(41,836,982)
	<u>₩ 6,827,679,736</u>	<u>₩ 55,889,765,909</u>	<u>₩ 62,717,445,645</u>

(in Korean won)	2025		
	Interest income (expenses)	Other income (expenses) ¹	Net income (loss)
Financial assets at amortized cost	₩ 11,432,562,381	₩ (28,862,647,159)	₩ (17,430,084,778)
Financial liabilities at amortized cost	(6,775,858,578)	13,221,447,360	6,445,588,782
Other liabilities	(618,022,549)	(5,298,198)	(623,320,747)
	<u>₩ 4,038,681,254</u>	<u>₩ (15,646,497,997)</u>	<u>₩ (11,607,816,743)</u>

¹ Other gains and losses include foreign currency translation gains and losses, foreign exchange gains and losses, and bad debt expenses on receivables.

6. Cash and Cash Equivalents

Cash and cash equivalents as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026	December 31, 2025
Cash equivalents	₩ 520,360,204,241	₩ 148,851,266,520
Cash on hand	2,870,000	-
	<u>₩ 520,363,074,241</u>	<u>₩ 148,851,266,520</u>

7. Restricted Financial Instruments

Restricted financial instruments as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026	December 31, 2025	Note
Long-term financial instruments	₩ 6,000,000	₩ 6,000,000	Deposits on checking accounts
	233,040,657	220,947,395	Establishment of a pledge right
	<u>₩ 239,040,657</u>	<u>₩ 226,947,395</u>	

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8. Trade and Other Receivables

Details of trade and other receivables as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)

		March 31, 2026		
		Gross amount	Bad debt allowances²	Net amount
Trade receivables	₩	603,836,361,994	₩ (48,679,068,388)	₩ 555,157,293,606
Other receivables		1,454,962,698	(232,104,467)	1,222,858,231
Accrued income		10,045,012,982	-	10,045,012,982
Total ¹	₩	615,336,337,674	₩ (48,911,172,855)	₩ 566,425,164,819

(in Korean won)

		December 31, 2025		
		Gross amount	Bad debt allowances²	Net amount
Trade receivables	₩	700,931,616,269	₩ (46,203,388,819)	₩ 654,728,227,450
Other receivables		10,144,784,366	(361,049,995)	9,783,734,371
Accrued income		11,954,957,155	-	11,954,957,155
Total ¹	₩	723,031,357,790	₩ (46,564,438,814)	₩ 676,466,918,976

¹ Trade and other receivables for related parties as at March 31, 2026 and December 31, 2025, are ₩ 66,901 million and ₩ 30,399 million, respectively (Note 31).

² The Group recognized bad debt allowances by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 33).

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9. Contract Assets and Liabilities

- (a) Changes in contract assets and liabilities arising from contracts with customers for the three-month periods ended March 31, 2026, and 2025, are as follows:

(in Korean won)	2026			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets				
- costs to fulfill a contract	₩ 390,213,037,655	₩ 25,421,967,368	₩ (26,696,916,324)	₩ 388,938,088,699
Contract assets - unbilled ¹	21,386,327,960	5,867,906,110	(8,862,488,735)	18,391,745,335
Contract liabilities	539,437,151,497	28,142,451,273	(53,648,198,909)	513,931,403,861
(in Korean won)	2025			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets				
- costs to fulfill a contract	₩ 306,960,313,251	₩ 8,925,872,130	₩ (25,024,248,032)	₩ 290,861,937,349
Contract assets - unbilled ¹	60,360,464,225	9,774,790,211	(48,997,412,702)	21,137,841,734
Contract liabilities	576,853,212,107	41,674,406,087	(36,027,622,784)	582,499,995,410

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

Costs to fulfill a contract include costs for technology transfer and production of test batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not consist of a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Group's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Group recognizes any advance consideration received from a customer as contract liabilities, as the performance obligation is fulfilled over a period of time.

- (b) The impairment loss on contract fulfillment costs recognized in profit or loss for the three-month period ended March 31, 2026, amounted to ₩ 6,672 million, compared to ₩ 14,272 million for the three-month period ended March 31, 2025.

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- (c) Besides the above contract liabilities recognized, the Group classifies the amount received in advance from customers before transferring goods or services as 'advance receipts'.

Changes in advance receipts for the three-month periods ended March 31, 2026, and 2025, are as follows:

(in Korean won)	2026			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 1,265,487,264,212	₩ 382,998,101,831	₩ (331,863,486,228)	₩ 1,316,621,879,815

(in Korean won)	2025			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 1,048,552,665,805	₩ 518,482,510,194	₩ (412,944,905,264)	₩ 1,154,090,270,735

10. Inventories

Details of inventories as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 787,407,073,191	₩ (6,457,139,754)	₩ 780,949,933,437
Work-in-process	641,969,692,166	(16,920,303,516)	625,049,388,650
Raw materials	764,403,329,198	(38,773,433,070)	725,629,896,128
Supplies	197,166,124,423	(38,158,177,493)	159,007,946,930
Goods in transit	918,662,859	-	918,662,859
	₩ 2,391,864,881,837	₩ (100,309,053,833)	₩ 2,291,555,828,004

(in Korean won)	December 31, 2025		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 730,367,526,210	₩ (5,576,748,170)	₩ 724,790,778,040
Work-in-process	513,638,360,394	(5,778,381,504)	507,859,978,890
Raw materials	765,337,196,132	(30,180,259,695)	735,156,936,437
Supplies	198,929,649,771	(39,575,587,014)	159,354,062,757
Goods in transit	1,002,406,598	-	1,002,406,598
	₩ 2,209,275,139,105	₩ (81,110,976,383)	₩ 2,128,164,162,722

During the three-month period ended March 31, 2026, the Group recognized ₩ 479,222 million (2025: ₩ 414,767 million) of inventories as an expense, and the amount includes loss on valuation of inventory of ₩ 19,198million (2025: ₩ 14,263 million)

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11. Other Financial Assets

Details of other financial assets as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026				December 31, 2025			
	Current		Non-current		Current		Non-current	
Deposits provided	₩	32,590,907,408	₩	10,191,503,785	₩	29,057,433,784	₩	10,596,804,423
Loan		-		32,235,420		-		30,563,370
	₩	32,590,907,408	₩	10,223,739,205	₩	29,057,433,784	₩	10,627,367,793

12. Other Assets

Details of other assets as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026				December 31, 2025			
	Current		Non-current		Current		Non-current	
Advance payments	₩	-	₩	-	₩	676,466,178	₩	-
Prepaid expenses		23,491,394,259		1,144,280,695		14,348,556,191		1,593,198,884
	₩	23,491,394,259	₩	1,144,280,695	₩	15,025,022,369	₩	1,593,198,884

13. Investments in Associate

(a) Investments in associates as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)			March 31, 2026			December 31, 2025		
			Book amount		Percentage of ownership	Book amount		Percentage of ownership
SVIC No.54 New Technology Business Investment L.L.P.	Major business location	Primary business						
	Korea	Equity investment in the bio industry start-ups	₩	69,803,562,322	33.00%	₩	74,893,935,646	33.00%
SVIC No.64 New Technology Business Investment L.L.P.	Korea	Equity investment in the bio industry start-ups		3,682,058,099	24.75%		3,204,181,923	24.75%
			₩	73,485,620,421		₩	78,098,117,569	

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(b) Changes in investments in associates for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)

		2026			
		Beginning balance	Acquisition	Share of profit (loss)	Ending balance
SVIC No.54 New Technology Business Investment L.L.P.	₩	74,893,935,646 ₩	- ₩	(5,090,373,324) ₩	69,803,562,322
SVIC No.64 New Technology Business Investment L.L.P.		3,204,181,923	499,702,500	(21,826,324)	3,682,058,099
	₩	78,098,117,569 ₩	499,702,500 ₩	(5,112,199,648) ₩	73,485,620,421 ₩

(in Korean won)

		2025			
		Beginning balance	Acquisition	Share of profit (loss) ¹	Ending balance
SVIC No.54 New Technology Business Investment L.L.P.	₩	50,551,281,256 ₩	- ₩	15,935,975,647 ₩	66,487,256,903
SVIC No.64 New Technology Business Investment L.L.P.		1,949,814,170	647,460,000	(25,558,926)	2,571,715,244
	₩	52,501,095,426 ₩	647,460,000 ₩	15,910,416,721 ₩	69,058,972,147 ₩

¹ The equity method gains or losses of SVIC No. 64 New Technology Business Investment Association include the profits or losses of Samsung Bioepis Co., Ltd., which was spun off through a demerger on November 1, 2025.

(c) Financial information of investees as at March 31, 2026 and December 31, 2025 and for the three-month periods ended March 31, 2026 and 2025, are summarized as follows:

(in Korean won)

		March 31, 2026						
		Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities
SVIC No.54 New Technology Business Investment L.L.P.	₩	31,379,238,643 ₩	180,397,222,607 ₩	250,514,820 ₩	- ₩	31,376,679,865 ₩	250,514,820 ₩	-
SVIC No.64 New Technology Business Investment L.L.P.		163,073,525	14,713,695,992	88,767,090	-	162,984,572	88,767,090	-

(in Korean won)

		March 31, 2026							
		Revenue	Income(Loss) for the periods	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	income tax expense
SVIC No.54 New Technology Business Investment L.L.P.	₩	1,463,872,314 ₩	(15,425,373,706) ₩	(15,425,373,706) ₩	- ₩	- ₩	- ₩	- ₩	-
SVIC No.64 New Technology Business Investment L.L.P.		579,925	(88,187,165)	(88,187,165)	-	-	-	-	-

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(in Korean won)

		December 31, 2025						
		Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities
SVIC No.54 New Technology Business Investment L.L.P.	₩	31,488,112,119	₩ 195,721,645,073	₩ 258,437,056	₩	- ₩ 31,477,669,780	₩ 258,437,056	₩
SVIC No.64 New Technology Business Investment L.L.P.		133,583,292	12,904,445,992	91,839,692	-	133,504,291	91,839,692	-

(in Korean won)

		March 31, 2025							
		Revenue	Income(Loss) for the periods	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	income tax expense
SVIC No.54 New Technology Business Investment L.L.P.	₩	49,101,710,905	₩ 48,290,835,294	₩ 48,290,835,294	₩	- ₩	- ₩	- ₩	- ₩
SVIC No.64 New Technology Business Investment L.L.P.		2,710,099	(86,056,991)	(86,056,991)	-	-	-	-	-

(d) Reconciliation of the investees' financial information to the carrying value of the Group's interest in associates as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)

		March 31, 2026						
		Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others	Book amount
SVIC No.54 New Technology Business Investment L.L.P.	₩	211,525,946,430	33.00%	₩ 69,803,562,322	₩	- ₩	- ₩	- ₩ 69,803,562,322
SVIC No.64 New Technology Business Investment L.L.P.		14,877,002,427	24.75%	3,682,058,099	-	-	-	3,682,058,099

(in Korean won)

		December 31, 2025						
		Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others	Book amount
SVIC No.54 New Technology Business Investment L.L.P.	₩	226,951,320,136	33.00%	₩ 74,893,935,646	₩	- ₩	- ₩	- ₩ 74,893,935,646
SVIC No.64 New Technology Business Investment L.L.P.		12,946,189,592	24.75%	3,204,181,923	-	-	-	3,204,181,923

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14. Property, Plant and Equipment

(a) Property, plant, and equipment as at March 31, 2026 and December 31, 2025, consist of:

(in Korean won)

	March 31, 2026		
	Acquisition cost	Accumulated depreciation	Carrying amount
Land	₩ 742,347,724,921	₩ -	₩ 742,347,724,921
Buildings	3,365,798,457,212	(311,290,386,420)	3,054,508,070,792
Structures	13,001,892,798	(2,906,076,268)	10,095,816,530
Machinery	3,501,020,451,570	(1,290,079,653,925)	2,210,940,797,645
Vehicles	1,747,004,300	(1,467,200,418)	279,803,882
Others	267,848,181,496	(108,413,762,489)	159,434,419,007
Construction-in-progress	285,747,691,617	-	285,747,691,617
	<u>₩ 8,177,511,403,914</u>	<u>₩ (1,714,157,079,520)</u>	<u>₩ 6,463,354,324,394</u>

(in Korean won)

	December 31, 2025		
	Acquisition cost	Accumulated depreciation	Carrying amount
Land	₩ 461,974,307,935	₩ -	₩ 461,974,307,935
Buildings	3,325,606,067,554	(290,478,142,494)	3,035,127,925,060
Structures	12,289,343,670	(2,829,563,323)	9,459,780,347
Machinery	3,260,480,083,369	(1,229,583,550,958)	2,030,896,532,411
Vehicles	1,696,844,668	(1,432,460,364)	264,384,304
Others	162,876,222,480	(102,108,677,083)	60,767,545,397
Construction-in-progress	430,160,651,929	-	430,160,651,929
	<u>₩ 7,655,083,521,605</u>	<u>₩ (1,626,432,394,222)</u>	<u>₩ 6,028,651,127,383</u>

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(b) Changes in property, plant and equipment for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)

		2026							
	Beginning balance	Business combination	Acquisition	Disposal and others	Depreciation	Depreciation of government grants	Others ^{1, 2}	Ending balance	
Land	₩ 461,974,307,935	₩ 13,771,940,076	₩ -	₩ -	₩ -	₩ -	₩ 266,601,476,910	₩ 742,347,724,921	
Buildings	3,035,127,925,060	40,192,389,658	-	-	(20,812,243,926)	-	-	3,054,508,070,792	
Structures	9,459,780,347	712,549,128	-	-	(76,512,945)	-	-	10,095,816,530	
Machinery	2,030,896,532,411	231,135,801,993	-	(4,000)	(60,876,652,646)	-	9,785,119,887	2,210,940,797,645	
Vehicles	264,384,304	-	3,570,000	-	(34,740,054)	-	46,589,632	279,803,882	
Others	60,767,545,397	101,372,353,360	-	(14,000)	(6,329,427,833)	-	3,623,962,083	159,434,419,007	
Construction-in-progress	430,160,651,929	65,693,110,148	69,864,184,568	-	-	-	(279,970,255,028)	285,747,691,617	
	₩ 6,028,651,127,383	₩ 452,878,144,363	₩ 69,867,754,568	₩ (18,000)	₩ (88,129,577,404)	₩ -	₩ 86,893,484	₩ 6,463,354,324,394	

¹ During the current period, ₩ 79 million was partially reclassified from intangible assets to construction-in-progress.

² Includes the effects of changes in foreign exchange rates.

(in Korean won)

		2025							
	Beginning balance	Business combination	Acquisition	Disposal and others	Depreciation	Depreciation of government grants	Others ^{1, 2}	Ending balance	
Land	₩ 141,114,205,121	₩ -	₩ 170,480,040	₩ -	₩ -	₩ -	₩ 6,696,690	₩ 141,291,381,851	
Buildings	1,720,070,324,731	-	74,634,245,589	(311,467,480)	(19,137,325,566)	-	1,484,292,843,789	3,259,548,621,063	
Structures	12,421,708,301	-	-	-	(95,972,892)	1,115,739	-	12,326,851,148	
Machinery	1,609,538,227,510	-	26,114,800,978	(1,250,243,365)	(56,833,230,773)	-	536,726,420,633	2,114,295,974,983	
Vehicles	194,735,572	-	-	-	(31,532,016)	-	165,902,412	329,105,968	
Others	57,517,575,444	-	331,591,624	(11,817,681)	(5,529,071,862)	-	8,102,680,477	60,410,958,002	
Construction-in-progress	1,833,096,744,028	-	406,687,037,713	-	-	-	(2,029,316,838,466)	210,466,943,275	
	₩ 5,373,953,520,707	₩ -	₩ 507,938,155,944	₩ (1,573,528,526)	₩ (81,627,133,109)	₩ 1,115,739	₩ (22,294,465)	₩ 5,798,669,836,290	

¹ During the previous period, ₩ 14 million was partially reclassified to intangible assets.

² Includes the effects of changes in foreign exchange rates.

(c) Classification of depreciation for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)

	2026	2025
Cost of revenue	₩ 82,107,842,640	₩ 73,123,565,914
Selling, general and administrative expenses	6,021,734,764	4,770,388,306
	₩ 88,129,577,404	₩ 77,893,954,220

(d) During the three-month period ended March 31, 2026, the Group has capitalized borrowing costs amounting to ₩ 437 million (2025: ₩ 835 million) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 3.32% (2025: 3.82%).

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15. Intangible Assets

(a) Intangible assets as at March 31, 2026 and December 31, 2025, consist of:

(in Korean won)

	March 31, 2026				
	Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩ 127,916,047,639	₩ (81,015,439,192)	₩ -	₩ -	₩ 46,900,608,447
Others	9,280,919,846	(3,905,094,837)	-	-	5,375,825,009
Membership	14,667,427,182	-	(521,756,000)	-	14,145,671,182
Trademarks	339,108,518	(59,655,156)	-	-	279,453,362
Patents	1,279,281,842	(104,340,804)	-	-	1,174,941,038
Land use rights	69,525,088,429	(20,394,025,947)	-	(49,131,062,482)	-
Construction-in-progress	7,795,038,060	-	-	-	7,795,038,060
	₩ 230,802,911,516	₩ (105,478,555,936)	₩ (521,756,000)	₩ (49,131,062,482)	₩ 75,671,537,098

(in Korean won)

	December 31, 2025				
	Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩ 120,442,643,625	₩ (77,167,880,120)	₩ -	₩ -	₩ 43,274,763,505
Others	4,647,883,258	(3,781,783,883)	-	-	866,099,375
Membership	14,667,427,182	-	(521,756,000)	-	14,145,671,182
Trademarks	300,465,541	(51,577,351)	-	-	248,888,190
Patents	1,199,096,273	(72,976,909)	-	-	1,126,119,364
Land use rights	69,525,088,429	(20,046,400,503)	-	(49,478,687,926)	-
Construction-in-progress	531,728,660	-	-	-	531,728,660
	₩ 211,314,332,968	₩ (101,120,618,766)	₩ (521,756,000)	₩ (49,478,687,926)	₩ 60,193,270,276

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(b) Changes in intangible assets for the three-month periods ended March 31, 2026 and 2025, are as follows:

		2026							
		Beginning balance	Business combination	Acquisition through external purchase	Acquisition through internal development	Amortization	Amortization of government grants	Others ^{1, 2}	Ending balance
Software	₩	43,274,763,505	₩ 6,682,853,589	₩ -	₩ -	₩ (3,845,675,072)	₩ -	₩ 788,666,425	₩ 46,900,608,447
Others		866,099,375	-	-	-	(123,310,954)	-	4,633,036,588	5,375,825,009
Membership		14,145,671,182	-	-	-	-	-	-	14,145,671,182
Trademarks		248,888,190	-	-	-	(8,077,805)	-	38,642,977	279,453,362
Patents		1,126,119,364	-	34,087,599	-	(31,363,895)	-	46,097,970	1,174,941,038
Land use rights		-	-	-	-	(347,625,444)	347,625,444	-	-
Construction-in-progress		531,728,660	386,174,278	12,462,945,824	-	-	-	(5,585,810,702)	7,795,038,060
Development cost		-	-	-	-	-	-	-	-
In-process R&D		-	-	-	-	-	-	-	-
Goodwill		-	-	-	-	-	-	-	-
	₩	60,193,270,276	₩ 7,069,027,867	₩ 12,497,033,423	₩ -	₩ (4,356,053,170)	₩ 347,625,444	₩ (79,366,742)	₩ 75,671,537,098

¹ During the current period, ₩ 79 million was partially reclassified from intangible assets to construction-in-progress of tangible assets.

² Includes the effects of changes in foreign exchange rates.

		2025							
		Beginning balance	Business combination	Acquisition through external purchase	Acquisition through internal development	Amortization	Amortization of government grants	Others ^{1, 2}	Ending balance
Software	₩	45,732,437,852	₩ -	₩ 330,301,738	₩ -	₩ (3,753,591,966)	₩ -	₩ 5,613,424,381	₩ 47,922,572,005
Others		8,429,444,459	-	141,600	-	(670,291,011)	-	686,505,817	8,445,800,865
Membership		14,542,153,050	-	1,000,000,000	-	-	-	-	15,542,153,050
Trademarks		109,711,171	-	-	-	(3,672,467)	-	-	106,038,704
Patents		7,248,350	-	-	-	(224,575)	-	-	7,023,775
Land use rights		-	-	-	-	(347,625,444)	347,625,444	-	-
Construction-in-progress		12,239,584,698	-	3,398,735,176	-	-	-	(6,286,449,000)	9,351,870,874
Development cost		2,592,989,625,355	-	-	-	(74,220,635,148)	-	262,689,883,420	2,781,458,873,627
In-process R&D		1,213,644,547,255	-	-	20,237,750,949	-	-	(262,689,883,420)	971,192,414,784
Goodwill		1,677,607,967,122	-	-	-	-	-	-	1,677,607,967,122
	₩	5,565,302,719,312	₩ -	₩ 4,729,178,514	₩ 20,237,750,949	₩ (78,996,040,611)	₩ 347,625,444	₩ 13,481,198	₩ 5,511,634,714,806

¹ During the previous period, ₩ 14 million was partially reclassified from construction-in-progress of tangible assets to intangible assets.

² Includes the effects of changes in foreign exchange rates.

(c) Classification of amortization for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)	2026	2025
Cost of revenue	₩ 401,707,866	₩ 579,584,001
Selling, general and administrative expenses	3,606,719,860	3,097,650,117
	<u>₩ 4,008,427,726</u>	<u>₩ 3,677,234,118</u>

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16. Debenture

(a) Debentures as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026		December 31, 2025	
	Current	Non-current	Current	Non-current
Debentures	₩ 319,798,187,404	₩ 599,100,708,436	₩ 319,712,704,765	₩ 599,011,716,516

(b) Details of debentures as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	Issue date	Maturity date	Interest rate (%)		March 31, 2026	December 31, 2025
7-2nd Public Debenture (Non-guaranteed)	2021-09-03	2026-09-03	2.19	₩	120,000,000,000	₩ 120,000,000,000
8-1st Public Debenture (Non-guaranteed)	2024-10-11	2026-10-08	3.27		200,000,000,000	200,000,000,000
8-2nd Public Debenture (Non-guaranteed)	2024-10-11	2027-10-08	3.38		600,000,000,000	600,000,000,000
Discount on debentures					(1,101,104,160)	(1,275,578,719)
					918,898,895,840	918,724,421,281
Current portion transferred					(319,798,187,404)	(319,712,704,765)
				₩	599,100,708,436	₩ 599,011,716,516

(c) The repayment schedule of debentures as at March 31, 2026, are as follows:

(in Korean won)	Debentures
April 1, 2026 to March 31, 2027	₩ 320,000,000,000
April 1, 2027 to March 31, 2028	600,000,000,000
	₩ 920,000,000,000

17. Trade and Other Payables

Details of trade and other payables as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026		December 31, 2025	
	Current	Non-current	Current	Non-current
Trade payables	₩ 213,619,496,370	₩ -	₩ 59,814,078,880	₩ -
Liabilities under supplier finance arrangements ¹	16,725,816,596	-	13,816,198,731	-
Other payables	111,598,361,320	-	98,183,866,317	-
Accrued expenses	260,441,562,829	22,940,189,970	314,573,132,883	23,361,343,268
Total ²	₩ 602,385,237,115	₩ 22,940,189,970	₩ 486,387,276,811	₩ 23,361,343,268

¹ Liabilities under supplier finance arrangements classified as accounts payables and other payables are generally settled within 120 days (Note 30).

² Trade and other payables to related parties as of March 31, 2026 and December 31, 2025 are ₩ 23,539 million and ₩ 37,761 million, respectively (Note 31).

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18. Emission Liability

(a) Emissions Allowances

The Group has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017.

The quantity of emission allowances for the 4th planning periods (2026 ~ 2030) allocated free of charge is as follows:

<i>(In tCO2-eq)</i>	2026	2027	2028	2029	2030	Total
Allocated free of charge	278,695	276,053	273,115	270,175	267,237	1,365,275

As of March 31, 2026, no emission allowances have been pledged as collateral.

Changes in emission permits quantities and the carrying amounts for the three-month period ended March 31, 2026, the years ended December 31, 2025 and 2024, respectively, are as follows:

<i>(in Korean won and in tCO2-eq)</i>	December 31, 2024		December 31, 2025¹		March 31, 2026	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
Beginning balance and Allocated free of charge	222,081	₩ -	121,247	₩ -	278,695	₩ -
Purchase/Disposal	4,438	37,501,100	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	(226,519)	(37,501,100)	-	-	-	-
Ending Balance	-	₩ -	121,247	₩ -	278,695	₩ -

¹ The quantity of emission allowances to be submitted for the year 2025 is expected to be finalized in the third quarter of 2026.

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(b) Emission liabilities

Changes in emission liability for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	2026			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 551,917,600	₩ -	₩ -	₩ 551,917,600

<i>(in Korean won)</i>	2025			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 500,890,270	₩ 210,605,885	₩ -	₩ 711,496,155

The Group estimated that it emitted 62,022 tons of carbon dioxide(tCO₂-eq) for the period ended March 31, 2026.

19. Lease

(a) The amounts relating to leases recognized as at March 31, 2026 and December 31, 2025 on the consolidated statement of financial position, are as follows:

<i>(in Korean won)</i>	March 31, 2026	December 31, 2025
Right-of-use assets¹		
Buildings	₩ 284,403,285,520	₩ 8,648,576,593
Vehicles	552,781,700	232,267,565
	<u>₩ 284,956,067,220</u>	<u>₩ 8,880,844,158</u>
Lease liabilities		
Current	₩ 26,755,115,906	₩ 7,257,974,993
Non-current	248,834,072,026	1,112,062,611
	<u>₩ 275,589,187,932</u>	<u>₩ 8,370,037,604</u>

¹ Additions to the right-of-use assets during the three-month periods ended March 31, 2026 and 2025, were ₩ 278,451 million and ₩ 4,812 million, respectively.

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- (b) The amounts relating to leases recognized for the three-month periods ended March 31, 2026 and 2025, on the condensed consolidated interim statement of comprehensive income, are as follows:

<i>(in Korean won)</i>	2026	2025
Statement of comprehensive income:		
Depreciation of right-of-use assets		
Land	₩ -	₩ 151,687,090
Buildings	2,211,991,031	2,356,038,586
Vehicles	208,835,639	240,007,684
	₩ 2,420,826,670	₩ 2,747,733,360
Interest expenses	41,836,981	618,022,547
Expense relating to variable lease payments not included in lease liabilities	862,342,272	614,410,418
Expense relating to leases of low-value assets	621,756,064	162,888,842
	₩ 3,946,761,987	₩ 4,143,055,167

- (c) Classification of depreciation of right-of-use assets for the three-month periods ended March 31, 2026 and 2025, is as follows:

<i>(in Korean won)</i>	2026	2025
Cost of revenue	₩ 1,734,331,842	₩ 1,819,116,765
Selling, general and administrative expenses	686,494,828	928,616,595
	₩ 2,420,826,670	₩ 2,747,733,360

- (d) The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments during the three-month periods ended March 31, 2026 and 2025, were ₩ 3,745 million and ₩ 72,111 million, respectively.

20. Other Liabilities

Details of other liabilities as at March 31, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026		December 31, 2025	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 1,233,667,178,588	₩ 82,954,701,227	₩ 1,189,846,533,432	₩ 75,640,730,780
Withholdings	9,956,176,029	-	11,611,996,403	-
	₩ 1,243,623,354,617	₩ 82,954,701,227	₩ 1,201,458,529,835	₩ 75,640,730,780

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21. Employee Benefits

- (a) Recognized assets and liabilities for employee benefits as at March 31, 2026, and December 31, 2025, are as follows:

(in Korean won)		March 31, 2026		December 31, 2025	
Net defined benefit liabilities (assets)	Present value of defined benefit obligations	₩	222,545,295,006	₩	200,985,537,662
	Fair value of plan assets		(223,484,781,734)		(224,281,325,241)
			(939,486,728)		(23,295,787,579)
Trade and other payables	Accrued expenses and others ¹		108,892,783,596		214,749,198,462
	Long-term accrued expenses ¹		17,075,662,725		23,361,343,268
			125,968,446,321		238,110,541,730
		₩	125,028,959,593	₩	214,814,754,151

¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

- (b) Changes in defined benefit liabilities (asset) for the three-month periods ended March 31, 2026, and 2025, are as follows:

(in Korean won)	2026					
	Defined benefit obligations		Plan assets	Net defined benefit liabilities (assets)		
Beginning balance	₩	200,985,537,662	₩	(224,281,325,241)	₩	(23,295,787,579)
Included in profit or loss :						
Current service cost ¹		21,610,716,479		-		21,610,716,479
Interest cost (income)		2,629,174,875		(2,816,372,280)		(187,197,405)
		24,239,891,354		(2,816,372,280)		21,423,519,074
Included in other comprehensive income or loss :						
Remeasurement loss (gain)						
- Actuarial loss (gain) arising from		-		-		-
Demographic assumptions		-		-		-
Financial assumptions		-		-		-
Experience adjustment		-		-		-
- Return on plan assets		-		1,208,866,337		1,208,866,337
		-		1,208,866,337		1,208,866,337
Others :						
- Benefit payments		(2,247,315,010)		1,528,781,380		(718,533,630)
- Other payments		(432,819,000)		875,268,070		442,449,070
		(2,680,134,010)		2,404,049,450		(276,084,560)
Ending balance	₩	222,545,295,006	₩	(223,484,781,734)	₩	(939,486,728)

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(in Korean won)	2025		
	Defined benefit obligations	Plan assets	Net defined benefit liabilities (assets)
Beginning balance	₩ 228,854,513,006	₩ (234,527,128,195)	₩ (5,672,615,189)
Included in profit or loss :			
Current service cost ¹	10,154,698,237	-	10,154,698,237
Interest cost (income)	2,440,746,274	(2,523,318,090)	(82,571,816)
	12,595,444,511	(2,523,318,090)	10,072,126,421
Included in other comprehensive income or loss :			
Remeasurement loss (gain)			
- Actuarial loss (gain) arising from	-	-	-
Demographic assumptions	-	-	-
Financial assumptions	-	-	-
Experience adjustment	-	-	-
- Return on plan assets	-	515,555,095	515,555,095
	-	515,555,095	515,555,095
Others :			
- Benefit payments	(729,083,000)	1,573,393,220	844,310,220
- Others	(435,546,020)	435,546,020	-
	(1,164,629,020)	2,008,939,240	844,310,220
Ending balance	₩ 240,285,328,497	₩ (234,525,951,950)	₩ 5,759,376,547

¹ This includes past service costs recognized retrospectively.

(c) Details of plan assets as of March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)	March 31, 2026	December 31, 2025
Principal-protected fixed income products, etc.	₩ 223,484,781,734	₩ 224,281,325,241

(d) The allocations of total expenses related to defined benefit obligation for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)	2026	2025
Cost of sales	₩ 16,592,500,727	₩ 5,776,083,668
Selling and administrative expenses	4,831,018,347	1,706,996,347
Construction in progress	-	267,178,325
	₩ 21,423,519,074	₩ 7,750,258,340

(e) The expense recognized in the current period in relation to defined contribution plan was ₩ 527 million (2025: ₩ 262 million).

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22. Share Capital and Reserves

- (a) Details of share capital as at March 31, 2026 and December 31, 2025, are summarized as follows:

<i>(in Korean won, in shares)</i>	March 31, 2026	December 31, 2025¹
Number of shares authorized	500,000,000	500,000,000
Par value	₩ 2,500	₩ 2,500
Number of shares issued	46,290,951	46,290,951
Share capital	₩ 115,727,377,500	₩ 115,727,377,500

¹ The Group completed a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

- (b) There were no changes in the number of issued and outstanding shares during the current and prior periods.

- (c) Details of share premium as at March 31, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026	December 31, 2025
Share premium	₩ 4,242,505,031,382	₩ 4,242,505,031,382
Other capital surplus	(850,578,848,000)	(850,578,848,000)
	<u>₩ 3,391,926,183,382</u>	<u>₩ 3,391,926,183,382</u>

- (d) Details of accumulated other comprehensive loss as at March 31, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026	December 31, 2025
Remeasurements of net defined benefit liabilities	₩ (23,264,508,553)	₩ (22,379,618,394)
Foreign currency translation	5,935,579,535	2,571,026,299
	<u>₩ (17,328,929,018)</u>	<u>₩ (19,808,592,095)</u>

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- (e) Change in the retained earnings for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	<u>2026</u>	<u>2025</u>
Beginning balance	₩ 6,870,960,680,790	₩ 5,086,608,620,197
Profit for the period	469,245,424,673	375,553,550,929
Ending balance	<u>₩ 7,340,206,105,463</u>	<u>₩ 5,462,162,171,126</u>

23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	<u>2026</u>	<u>2025</u>
Revenue:		
Product sales	₩ 1,222,700,193,131	₩ 920,755,622,714
Other sales	34,418,995,760	78,789,023,351
	<u>₩ 1,257,119,188,891</u>	<u>₩ 999,544,646,065</u>
Cost of revenue:		
Cost of product sales	₩ 389,075,839,894	₩ 337,353,322,228
Cost of other sales ¹	188,132,410,005	120,197,736,626
	<u>₩ 577,208,249,899</u>	<u>₩ 457,551,058,854</u>

¹ Cost of other sales includes loss on abnormal capacity, (reversal of) loss on valuation of inventories, etc.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Salaries	₩	20,028,395,150	₩	21,591,513,196
Bonuses		11,931,367,065		14,564,197,146
Retirement benefit		4,537,955,680		1,602,026,354
Employee welfare		6,794,042,630		6,277,028,461
Depreciation		5,067,413,188		3,642,349,916
Amortization		3,583,984,614		3,094,044,913
Repairs and maintenance expenses		1,065,369,638		3,601,274,005
Supplies expenses		536,416,215		2,420,829,002
Utility expenses		555,792,768		520,421,713
Service fees		14,615,606,589		26,153,482,686
Training expenses		2,842,663,874		3,849,610,866
IT expenses		2,081,177,887		3,377,935,219
Taxes and dues		578,258,878		359,436,433
Insurance expenses		2,787,520,948		3,017,636,735
Advertising and promotion expenses		1,293,500,814		857,968,974
Bad debt expenses (Reversal)		(53,596,973)		5,423,519,645
R&D expenses		7,238,121,715		7,582,495,849
Others		13,674,367,488		3,818,278,649
	₩	<u>99,158,358,168</u>	₩	<u>111,754,049,762</u>

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25. Expenses by Nature

Details of expenses classified by nature for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Changes in work-in-process and finished goods	₩	(127,966,839,017)	₩	(50,828,851,328)
Changes in costs to fulfill a contract		1,274,948,956		11,541,074,374
Raw materials and supplies used		276,082,114,985		191,233,570,797
Employee benefits		192,610,470,290		170,710,390,437
Depreciation and amortization		92,138,005,130		81,571,188,338
Supplies expenses		46,320,907,343		38,114,931,723
Utility expenses		28,933,725,423		27,010,299,893
Service fees		28,845,770,873		36,238,268,814
Repairs and Maintenance Expenses		16,541,510,152		14,635,513,707
Others		121,585,993,932		49,078,721,861
Total cost of sales, and selling, general and administrative expenses ¹	₩	676,366,608,067	₩	569,305,108,616

¹ This refers to the sum of cost of sales and selling and administrative expenses on the statement of profit or loss.

26. Other Income and Expenses

(a) Details of other income for the three-month periods ended March 31, 2026, and 2025, are as follows:

<i>(in Korean won)</i>		2026		2025
Rental incomes	₩	148,986,400	₩	142,124,068
Fees incomes		804,849		574,930
Gain on disposal of property, plant and equipment		-		495,820,742
Gain on lease cancellation		237,755		173,111
Miscellaneous gains		2,305,032,260		81,046,829
	₩	2,455,061,264	₩	719,739,680

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- (b) Details of other expenses for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	2026	2025
Donations	₩ 8,282,853	₩ 665,361,093
Loss on disposal of property, plant and equipment	-	634,613,142
Loss on retirement of property, plant and Equipment	18,000	287,477,575
Miscellaneous losses	6,434,484	248,403
	₩ 14,735,337	₩ 1,587,700,213

27. Finance Income and Costs

- (a) Details of finance income for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	2026	2025
Interest income	₩ 13,974,055,753	₩ 11,432,562,381
Gain on foreign currency translations	40,716,859,790	3,802,791,966
Gain on foreign currency transactions	29,928,340,736	23,475,437,244
	₩ 84,619,256,279	₩ 38,710,791,591

- (b) Details of finance costs for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	2026	2025
Interest expenses	₩ 7,146,376,017	₩ 7,393,881,127
Loss on foreign currency translations	4,996,825,441	2,669,236,779
Loss on foreign currency transactions	9,963,606,149	34,831,970,783
	₩ 22,106,807,607	₩ 44,895,088,689

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28. Income Tax Expense

Income tax expense is recognized based on the best estimate of weighted average annual income tax rate expected for the full financial year. Income tax expense estimated for the three-month periods ended March 31, 2026, is ₩ 171,348 million. The estimated average annual income tax rate used for the year ended December 31, 2026, is 26.75%.

The Group is within the scope of the OECD Pillar Two rules, which may result in top-up tax liabilities if the GloBE effective tax rate in a jurisdiction is below 15%. Based on an assessment using 2024 country-by-country reporting and 2025 financial data, the Group expects that either the transitional safe harbour rules will apply or effective tax rates will exceed 15% in most jurisdictions. As a result, no material top-up tax has been recognized as of the reporting date. Accordingly, there is no amount recognized by the Group as current tax expense related to Pillar Two income taxes. In addition, the Group applied the exception to the recognition and disclosure of deferred tax assets and liabilities related to Pillar Two income taxes, and accordingly, did not recognize or disclose information about deferred tax assets and liabilities related to Pillar Two income taxes.

29. Earnings per Share

(a) Basic earnings per share

Earnings per share for the three-month periods ended March 31, 2026, and 2025, are calculated as follows:

<i>(in Korean won and in shares)</i>	2026	2025
Profit for the period	₩ 469,245,424,673	₩ 375,553,550,929
Weighted-average number of ordinary shares outstanding	46,239,518	71,174,000
Basic earnings per share from continuing operations	₩ 10,148	₩ 4,655
Basic earnings per share from discontinued operations	₩ -	₩ 621

(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for period ended March 31, 2026, and 2025, are as follows:

<i>(in shares)</i>	2026	2025
Beginning number of ordinary shares issued	46,290,951	71,174,000
Treasury stock effect ¹	(51,433)	-
Weighted-average number of ordinary shares outstanding	46,239,518	71,174,000

¹ The consolidated group established Samsung Epis Holdings Co., Ltd. through a spin-off as of November 1, 2025, and as a result, acquired fractional shares arising from the spin-off as treasury shares (common shares: 51,433).

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(c) Diluted earnings per share

Because the Group has not issued any potential ordinary shares, basic earnings per share and diluted earnings per share are the same.

30. Commitments and Contingencies

(a) As of March 31, 2026, details of the Group's borrowings commitment with financial institutions are summarized as follows:

(in Korean won)

Financial institutions	Type	Currency	Limit	Currency	Disbursed Amount
Woori Bank	Bank overdraft	KRW	10,000,000,000	KRW	
	B2B PLUS	KRW	5,760,000,000	KRW	
KEB Hana Bank	Bank overdraft	KRW	10,000,000,000	KRW	
	Credit Facility	KRW	40,000,000,000	KRW	
Shinhan Bank	General loan	KRW	17,000,000,000	KRW	
	Bank overdraft	KRW	10,000,000,000	KRW	
Australia and New Zealand Banking Group Limited ¹	Facility loan	KRW	120,000,000,000	KRW	

¹ On a USD basis, the amount is USD 100 million.

(b) As of March 31, 2026, details of guarantees provided by financial institutions are summarized as follows:

(in Korean won)

	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantee	KRW	9,500,000,000	KRW	2,668,591,410
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000,000	KRW	-
Seoul Guarantee Insurance Company	Performance guarantee and others	KRW	24,408,744,810	KRW	24,408,744,810

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- (c) If the Group does not comply with the commitments below, financial institutions may require an early redemption of debenture. Details of debt covenants related to debenture with financial institutions as of March 31, 2026, are as follows:

Issuance	Face value	Financial ratio maintenance	Collateral restriction	Asset sale limit	Governance restriction
7-2nd Debenture	₩ 120 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions
8-1st Debenture	₩ 200 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions
8-2nd Debenture	₩ 600 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions

- (d) In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

The lease term is 50 years in total. The initial lease period is 20 years from the date of the land lease agreement, April 28, 2011, and the Group may renew the contract in successive 10-year increments.

(ii) Exemption requirement

The Group whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of Common Property Management Ordinance of Incheon. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, are subject to exemption.

- (e) As of March 31, 2026, there are a total of 3 pending lawsuits of stock transaction damages related to the Group's accounting and disclosure (Note 36) and the total amount of litigation is ₩ 8,920 million. There are 2 other lawsuits and the amount of litigation is ₩ 5,845 million.
- (f) Contractual obligation to purchase property, plant and equipment and intangible assets are as of March 31, 2026 are ₩ 255,113 million, of which the amount committed to related parties including Samsung E&A, Co., Ltd. is ₩ 34,652 million.
- (g) In November 2023, the Group entered into an investment agreement with a limit of total ₩ 17,820 million for SVIC No.64 New Technology Business Investment L.L.P. until November 2033.

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- (h) The Group entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Group must carry out all procedures, such as facility construction plans and approval for use, within 10 years from the enforcement date of the purchase agreement. In addition, from the effective date of the purchase agreement until the completion of the implementation of the business plan, the Group is not permitted to provide the land and facilities for the relevant purpose as collateral, such as by creating a mortgage, or to sell them to a third party. Failure to comply with the foregoing may result in the rescission of the sale and purchase agreement.
- (i) The Group entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the third Bio Campus on November 28, 2025, and the purchase price is ₩ 248.7 billion. The Group must carry out all procedures, such as facility construction plans and approval for use, within 9 years from the enforcement date of the purchase agreement. In addition, from the effective date of the purchase agreement until the completion of the implementation of the business plan, the Group is not permitted to provide the land and facilities for the relevant purpose as collateral, such as by creating a mortgage, or to sell them to a third party. Failure to comply with the foregoing may result in the rescission of the sale and purchase agreement or the imposition of liquidated damages. For the three-month periods ended March 31, 2026, the remaining purchase consideration was fully paid and transferred to land.
- (j) The Group completed the acquisition of Human Genome Sciences, Inc., which owns a bio-production facility in the United States, from GlaxoSmithKline Holdings (America) Inc. on March 31, 2026, through the payment of the transaction consideration. As of March 31, 2026, subsequent settlement procedures for a portion of the transaction consideration are currently in progress.
- (k) The Group has entered into a supplier financing agreement with financial institutions to support the cash flow of strategic suppliers. Under the agreement, the bank acquires the rights to certain trade receivables of the suppliers. After this acquisition, the Group cannot directly make early payments to the suppliers, nor can it offset the liabilities with the receivables obtained from the suppliers. However, the Group has determined that it is appropriate to continue to present the related amounts in trade payables and other payables on the statement of financial position, as the terms of the trade payables have not substantially changed.

Details of the carrying amount of liabilities under supplier financing arrangements as of March 31, 2026, and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026	December 31, 2025
Liabilities under supplier financing arrangements	₩ 16,725,816,596	₩ 13,816,198,731
Liabilities under supplier financing arrangements where financial institutions have paid the suppliers ¹	-	-

¹ There were no significant business combinations or exchange rate differences that would affect liabilities under supplier financing arrangements. Additionally, there were no non-cash changes from trade and other payables to liabilities under supplier financing arrangements as of March 31, 2026 and December 31, 2025.

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The Group determined that it is not a party to the cash flows when the financial institution makes payments to the suppliers. Accordingly, the Group presents such cash outflows as operating cash flows when making payments to the financial institution.

Liabilities under supplier financing arrangements are short-term, and their carrying amount is considered a reasonable approximation of fair value. Changes to the supplier financial agreement are as follows, and all other terms are the same as those for trade and other payables to the respective suppliers.

Range of maturity	March 31, 2026	December 31, 2025
Liabilities under supplier financing arrangements	Within 120 days from invoice issuance date	Within 120 days from invoice issuance date
Trade payables or other payables not part of supplier financing arrangements (same business)	Within 30 days from invoice issuance date	Within 30 days from invoice issuance date

31. Related Parties

- (a) As of March 31, 2026, Samsung C&T Corporation is a parent company, and the percentage of ownership it has over the Group is 43.06%.
- (b) Details of related parties as of March 31, 2026, are as follows:

Relationship	Name of entity
Parent Company	Samsung C&T Corporation
Entity which has significant influence on the Group	Samsung Electronics Co., Ltd
Associates	SVIC No.54 New Technology Business Investment L.L.P., SVIC No.64 New Technology Business Investment L.L.P.
Others	Samsung Bioepis Co., Ltd, SAMSUNG WELSTORY INC., Samsung C&T Deutschland GmbH, Samsung Research America, Inc., SAMSUNG ELECTRONICS SALES Co., Ltd., Samsung Electronics America, Inc., Seoul Lake Side Co., Ltd.
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung E&A, Co., Ltd., S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung Securities Co.,Ltd, SBTM Corporation, SECUI Corporation, SHP Corporation, Miracom Inc., Samsung SDS America Inc. and others

¹ Although the entities are not the related party of the Group in accordance with K-IFRS No. 1024, the entities belong to the Business Group designated as a conglomerate to which the Group also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

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(c) Outstanding balances with related parties as at March 31, 2026 and December 31, 2025, are as follows:

(in Korean won)

		March 31, 2026					
		Receivables		Payables			
		Trade receivables	Other receivables	Other payables and others	Advance receipts	Contract liabilities	
Parent Company							
Samsung C&T Corp.	₩	-	₩	-	₩	-	₩
Entity which has significant influence							
Samsung Electronics Co., Ltd		-	-	3,956,756,844	-	-	-
Others							
Samsung Bioepis Co., Ltd.		66,831,185,087	38,383,608	-	73,574,329,647	44,316,948,020	
SAMSUNG WELSTORY INC.		-	-	1,513,374,282	-	-	
SAMSUNG ELECTRONICS SALES Co., Ltd.		-	-	-	-	-	
Samsung C&T Deutschland GmbH		-	-	612,078,081	-	-	
Samsung Electronics America, Inc.		-	-	-	-	-	
The Enterprise Group							
SAMSUNG E&A Co., Ltd.		-	-	-	-	-	
S-1 CORPORATION		-	-	1,311,649,680	-	-	
SAMSUNG SDS Co., Ltd.		-	-	9,868,307,990	-	-	
Others ¹		-	31,552,396	6,160,757,406	-	-	
	₩	66,831,185,087	₩	69,936,004	₩	23,539,304,283	₩
					₩	73,574,329,647	₩
						₩	44,316,948,020

¹ Transactions with Samsung Card Co., Ltd., Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., Multicampus Corporation, Hotel Shilla Co., Ltd., SHP Corporation,

Samsung SDS America, Inc. are included.

(in Korean won)

		December 31, 2025					
		Receivables		Payables			
		Trade receivables	Other receivables	Other payables and others	Advance receipts	Contract liabilities	
Parent Company							
Samsung C&T Corp.	₩	-	₩	3,432,000	₩	-	₩
Entity which has significant influence							
Samsung Electronics Co., Ltd		-	-	12,378,438,601	-	-	-
Others							
Samsung Bioepis Co., Ltd.		30,138,121,351	32,022,798	-	44,172,152,086	53,003,379,736	
SAMSUNG WELSTORY INC.		-	-	1,567,103,686	-	-	
SAMSUNG ELECTRONICS SALES Co., Ltd.		-	-	11,419,400	-	-	
Samsung C&T Deutschland GmbH		-	-	354,090,037	-	-	
Samsung Electronics America, Inc.		-	-	99,049,712	-	-	
The Enterprise Group							
SAMSUNG E&A Co., Ltd.		-	-	8,037,388,700	-	-	
S-1 CORPORATION		-	34,584,000	3,085,804,524	-	-	
SAMSUNG SDS Co., Ltd.		-	73,711,000	10,602,973,659	-	-	
Others ¹		-	116,683,113	1,565,642,311	-	-	
	₩	30,138,121,351	₩	260,432,911	₩	37,761,363,430	₩
					₩	44,172,152,086	₩
						₩	53,003,379,736

¹ Transactions with Samsung Card Co., Ltd., Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., SBTM Corporation, Multicampus Corporation, SHP Corporation. are included.

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(d) Significant transactions which occurred in the normal course of business with related parties for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)

	2026					
	Revenue		Expenses		Asset acquisition	
	Sales	Others	Service fees	Others		
Parent Company						
Samsung C&T Corp.	₩	-	₩	-	₩	-
Entity which has significant influence						
Samsung Electronics Co., Ltd		-		-		-
			2,443,531,760	14,110,000		46,363,636
Associate						
Aimed Bio Inc. ¹		-		-		-
Others						
Samsung Bioepis Co., Ltd.	275,226,530,034	-	-	-		-
SAMSUNG WELSTORY INC.	-	4,500,000	-	4,389,375,418		-
SAMSUNG ELECTRONICS SALES Co., Ltd.	-	5,775,000	-	34,427,273		-
Seoul Lake Side co.LTD	-	-	-	-		-
Samsung C&T Deutschland GmbH	-	-	-	675,035,509		-
Samsung Research America, Inc.	-	-	-	12,929,543		-
The Enterprise Company						
SAMSUNG E&A CO.,LTD	-	-	-	-		1,610,000,000
SAMSUNG SDS CO., LTD.	-	3,726,674	786,522,500	5,486,668,579		6,831,752,130
SAMSUNG FIRE & MARINE INSURANCE CO.,LTD ²	-	2,335,339,177	-	1,124,569,711		-
Samsung Life Insurance co., Ltd ²	-	373,762,168	-	1,681,932		-
SAMSUNG SECURITIES CO.,LTD ²	-	348,280,371	-	-		-
Others ³	-	8,735,815	2,690,357,263	2,193,851,242		140,660,000
	₩ 275,226,530,034	₩ 3,080,119,205	₩ 6,067,721,523	₩ 14,144,814,662	₩	8,628,775,766

¹ The equity interest held by Samsung Bioepis Co., Ltd. was spun off and, consequently, excluded from associates during the current period.

² Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As of March 31, 2026, the Company deposited ₩40,110 million (December 31, 2025:

₩42,147 million) in Samsung Fire & Marine Insurance Co., Ltd, ₩46,289 million (December 31, 2025: ₩45,918 million) in Samsung Life Insurance Co., Ltd, and ₩49,060 million

(December 31, 2025: ₩48,711 million) in Samsung SECURITIES Co., Ltd as plan assets.

³ It includes transactions with Samsung Card Co., Ltd., S-1 Corporation, Samsung Global Research, Multicampus Corporation, Cheil Worldwide Inc., SBTM Corporation, SECUI Corporation, SHP Corporation, Samsung SDS America, Inc.

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(in Korean won)

(in Korean won)

	2025									
	Revenue				Expenses				Asset acquisition	
	Sales		Others		Service fees		Others			
Parent Company										
Samsung C&T Corp.	₩	-	₩	420,000	₩	219,994,660	₩	358,545,455	₩	-
Entity which has significant influence										
Samsung Electronics Co., Ltd		-		-		2,570,778,062		12,923,000		74,000,000
Associates										
Aimed Bio Inc.		255,305,824		-		-		373,522,129		-
Others										
Samsung Bioepis Co., Ltd.		-		-		-		-		-
SAMSUNG WELSTORY INC.		-		5,915,950		-		4,944,704,807		-
SAMSUNG ELECTRONICS SALES Co., Ltd.		-		5,775,000		-		51,393,819		-
Seoul Lake Side co.LTD		-		-		-		660,000		-
Samsung C&T Deutschland GmbH		-		-		-		363,058,096		-
Samsung Research America, Inc.		-		-		-		12,576,443		-
The Enterprise Company										
SAMSUNG E&A CO.,LTD		-		-		13,555,693,000		-		372,406,818,741
SAMSUNG SDS CO., LTD.		-		3,244,260		987,124,004		6,403,935,123		265,100,000
SAMSUNG FIRE & MARINE INSURANCE CO.,LTD ¹		-		318,182,079		-		954,465,153		-
Samsung Life Insurance co., Ltd ¹		-		953,193,441		6,278,480		3,545,906		-
SAMSUNG SECURITIES CO.,LTD ¹		-		317,508,104		40,779,966		-		-
Others ²		-		14,488,005		3,525,907,290		4,713,295,581		(422,782,521)
	₩	255,305,824	₩	1,618,726,839	₩	20,906,555,462	₩	18,192,625,512	₩	372,323,136,220

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² It includes transactions with Samsung Card Co., Ltd., S-1 Corporation, Samsung Global Research, Multicampus Corporation, Cheil Worldwide Inc., SBTM Corporation, SECUI Corporation, Hotel Shilla Co., Ltd., SHP Corporation, MIRACOM Inc., and Samsung SDS America, Inc..

(e) The compensation paid or payable to key management for employee services for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)	2026	2025
Short-term employee benefits	₩ 1,704,468,730	₩ 1,579,018,940
Long-term employee benefits	1,636,360,476	2,183,883,678
Retirement benefits	146,236,464	131,650,404
	₩ 3,487,065,670	₩ 3,894,553,022

Key management refers to the registered directors (including non-executives). Compensation of the Group's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Group has granted long-term incentives to the Group's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

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- (f) Financing transactions with related parties for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	2026	2025	Description
Associates			
SVIC No.64 New Technology Business Investment L.L.P. ₩	499,702,500 ₩	647,460,000	Equity contribution in cash

32. Statements of Cash Flows

- (a) The Group has prepared the cash flows from operating activities using the indirect method. The adjustments related to cash flows from operating activities and the changes in assets and liabilities due to operating activities for the current and previous quarters are as follows:

<i>(in Korean won)</i>	2026	2025
Cash flows from operating activities	₩ 913,648,710,395 ₩	840,103,084,598
Profit for the period	469,245,424,673	375,553,550,929
Adjustments for:		
Retirement benefits	21,423,519,074	10,072,126,421
Depreciation	88,129,577,404	81,626,017,370
Amortization of intangible assets	4,008,427,726	78,648,415,167
Depreciation of right-of-use assets	2,420,826,670	3,126,151,321
Loss(gain) on valuation of inventories	19,198,077,450	16,053,091,015
Impairment loss on contract assets	6,671,584,314	14,272,118,690
Loss on retirement of property, plant and equipment	18,000	287,477,575
Gain on disposal of property, plant and equipment	-	(495,820,742)
Loss on disposal of property, plant and equipment	-	643,097,752
Donation	-	4,172,865
Gain on foreign currency translation	(40,716,859,790)	(10,927,048,945)
Loss on foreign currency translation	4,996,825,441	8,737,659,346
Gain on valuation of derivatives	-	(230,539,168)
Cost of emissions	-	210,605,885
Interest income	(13,974,055,753)	(13,231,894,123)
Interest expense	7,146,376,016	9,916,222,174
Bad debt expense(reversal)	(53,596,973)	5,423,519,645
Share of profit or loss of associates	5,112,199,648	(15,910,416,721)
Income tax expense	171,347,731,102	123,832,999,979
Others	(237,755)	(5,306,807)
	275,710,412,574	312,052,648,699

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Change in operating assets and liabilities:

Decrease (Increase) in Trade and other receivables	125,310,881,933	269,281,398,483
Decrease (Increase) in Inventories	(84,177,566,266)	(71,199,894,860)
Decrease (Increase) in Deposits provided	(3,080,000,000)	4,908,276,269
Decrease (Increase) in Contract assets	(1,561,066,723)	10,966,297,300
Decrease (Increase) in Other assets	(4,642,969,808)	(1,961,504,070)
Increase (Decrease) in Trade and other payables	113,614,133,316	(329,838,900,527)
Increase (Decrease) in Contract liabilities	(25,505,747,636)	5,150,019,067
Increase (Decrease) in Advance receipts	51,134,615,603	105,537,604,930
Increase (Decrease) in Unearned revenue	-	160,821,029,365
Increase (Decrease) in Other liabilities	(1,680,873,641)	(773,603,217)
Retirement benefits paid	(718,533,630)	(393,837,770)
	<u>₩ 168,692,873,148</u>	<u>₩ 152,496,884,970</u>

(b) Significant transactions not involving cash flows of investing and financing activities for the three-month periods ended March 31, 2026 and 2025, are as follows:

<i>(in Korean won)</i>	<u>2026</u>	<u>2025</u>
Other payables due to acquisition of property, plant and equipment and intangible assets	₩ 31,476,750,075	₩ 435,449,336,535
Transfer of construction-in-progress to property, plant and equipment and intangible assets	285,556,065,730	2,298,293,170,886
Changes in Right-of-Use Assets and Lease Liabilities	269,384,800,243	2,888,131,897

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(c) Changes in liabilities arising from financial activities for the three-month periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)

	2026													
	Current portion of debentures		Debentures		Short-Term Borrowings		Current Portion of Long-Term Borrowings		Long-Term Borrowings		Lease liabilities		Total	
Beginning Balance	₩	319,712,704,765	₩	599,011,716,516	₩	-	₩	-	₩	-	₩	8,370,037,604	₩	927,094,458,885
Changes from Financing Cash Flows:														
Proceeds from Borrowings		-		-		-		-		-		-		-
Repayments of Borrowings		-		-		-		-		-		-		-
Principal Repayment of Lease Liabilities		-		-		-		-		-		(2,216,371,123)		(2,216,371,123)
Others:														
Effects of changes in foreign exchange rates		-		-		-		-		-		50,721,208		50,721,208
Debt discount Amortization		85,482,639		88,991,920		-		-		-		-		174,474,559
Lease Changes		-		-		-		-		-		550,875,595		550,875,595
Changes in the Scope of Consolidation		-		-		-		-		-		268,833,924,648		268,833,924,648
Ending Balance	₩	319,798,187,404	₩	599,100,708,436	₩	-	₩	-	₩	-	₩	275,589,187,932	₩	1,194,488,083,772

(in Korean won)

	2025									
	Current portion of debentures		Debentures	Short-Term Borrowings	Current Portion of Long-Term Borrowings	Long-Term Borrowings	Lease liabilities		Total	
Beginning Balance	₩	-	₩ 917,756,707,992	₩ 207,000,000,000	₩ 120,000,000,000	₩ 95,000,000,000	₩ 146,482,767,357	₩	1,486,239,475,349	
Changes from Financing Cash Flows:										
Proceeds from Borrowings		-	-	-	-	45,000,000,000	-		45,000,000,000	
Repayments of Borrowings		-	-	-	(45,000,000,000)	-	-		(45,000,000,000)	
Principal Repayment of Lease Liabilities		-	-	-	-	-	(69,803,117,526)		(69,803,117,526)	
Others:										
Effects of changes in foreign exchange rates		-	-	-	-	-	11,940,246		11,940,246	
Debt discount Amortization		-	166,435,409	-	-	-	-		166,435,409	
Lease Changes		-	-	-	-	-	2,888,131,897		2,888,131,897	
Changes in the Scope of Consolidation		-	-	-	-	-	-		-	
Ending Balance	₩	-	₩ 917,923,143,401	₩ 207,000,000,000	₩ 75,000,000,000	₩ 140,000,000,000	₩ 79,579,721,974	₩	1,419,502,865,375	

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33. Financial Risk Management

The Group is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements

(a) Risk management policy

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

(b) Credit risk

The Group assesses the credit quality of the customer, comprehensively taking into account its financial information and pipeline development stages from the point when the contract is made. Also, the Group periodically evaluates the credit worthiness of each customer or counterparty through the analysis of its financial information, historical transaction records and other factors.

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as of March 31, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026		December 31, 2025	
Cash and cash equivalents ¹	₩	520,360,204,241	₩	148,851,266,520
Short-term financial instruments		1,100,000,000,000		1,307,174,500,000
Long-term financial instruments		239,040,657		226,947,395
Trade and other receivables		565,382,721,300		667,411,901,892
Loan		32,235,420		30,563,370
Deposits provided		42,782,411,193		39,654,238,207
Contract assets - unbilled		18,391,745,335		21,386,327,960
	₩	2,247,188,358,146	₩	2,184,735,745,344

¹ Cash on hands held by the Group is excluded.

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The Group applies the simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade and other receivables and contract assets.

As contract assets share similar risk characteristics with trade and other receivables arising from the same type of contracts, the Group has determined that the loss rates for trade and other receivables represent a reasonable estimate of the loss rates for contract assets.

The Group applies expected credit loss rates considering the forward-looking estimates and probability of default in prior periods for customers with objective evidence of impairment. The Group considered that there was evidence of impairment if any of the following indicators were present:

- Significant financial difficulties of the debtor
- Probability that the debtor will enter bankruptcy or financial reorganization, and
- Default or delinquency in payments

On that basis, the loss allowance as at March 31, 2026 and December 31, 2025 was determined as follows for both trade and other receivables and contract assets:

(in Korean won)

(in Korean won)

		March 31, 2026						
		Past due						
	Current		Less than 1 months	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months	Total
Expected Loss Rate	0.78%		0.02%	0.00%	0.00%	95.61%	99.95%	8.05%
Gross Carrying Amount – Trade Receivables	₩ 531,244,001,228	₩	24,369,399,550	₩ 481,045,223	₩ 1,178,880,471	₩ 82,274,945	₩ 46,480,760,577	₩ 603,836,361,994
Gross Carrying Amount – Other Receivables	10,291,855,332		1,022,181	1,114,392	-	-	163,540,256	10,457,532,161
Gross Carrying Amount – Contract Assets – Unbilled	20,580,372,992		-	-	-	-	-	20,580,372,992
Allowance for Expected Credit Losses	(4,392,718,227)		(5,540,434)	-	-	(78,660,976)	(46,622,880,875)	(51,099,800,512)

(in Korean won)

(in Korean won)		December 31, 2025													
		Past due													
Current		Less than 1 months		1 - 3 months		3 - 6 months		6 - 12 months		More than 12 months		Total			
Expected Loss Rate		0.78%		0.00%		0.00%		0.98%		16.19%		99.99%		6.60%	
Gross Carrying Amount – Trade Receivables	₩	522,884,029,849	₩	121,777,276,194	₩	10,930,837,861	₩	771,491,505	₩	529,950,634	₩	44,038,030,226	₩	700,931,616,269	
Gross Carrying Amount – Other Receivables		12,886,815,456		2,723,727		127,821		-		-		155,057,433		13,044,724,437	
Gross Carrying Amount – Contract Assets – Unbilled		23,470,821,234		-		-		-		-		-		23,470,821,234	
Allowance for Expected Credit Losses		(4,364,768,729)		(424,084)		-		(7,567,992)		(85,813,754)		(44,190,357,529)		(48,648,932,088)	

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Changes in the loss allowance provision for trade and other receivables and contract assets for the periods ended March 31, 2026 and 2025, are as follows:

(in Korean won)

	Trade Receivables		Other Receivables		Contract Assets	
	2026	2025	2026	2025	2026	2025
Beginning Balance	₩ (46,203,388,819)	₩ (47,430,427,160)	₩ (361,049,995)	₩ (722,264,660)	₩ (2,084,493,274)	₩ (3,067,641,283)
Provision	(82,564,935)	(4,783,829,131)	(11,261,208)	(3,621)	(11,357,165)	(981,052,342)
Reversal	141,009,855	44,425,110	151,829,061	4,893	17,341,365	296,935,446
Others	(2,534,124,489)	(20,120,397)	(11,622,325)	569,000	(110,118,583)	(87,158,022)
Ending Balance	₩ (48,679,068,388)	₩ (52,189,951,578)	₩ (232,104,467)	₩ (721,694,388)	₩ (2,188,627,657)	₩ (3,838,916,201)

(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Group manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as of March 31, 2026 and December 31, 2025, including estimated interest payments and excluding the impact of netting agreements. The Group does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

(in Korean won)

	March 31, 2026					
	Book amount	Contractual cash flows	Less than 1 year	1-2 years	2-3 years	More than 3 years
Trade and other payables ¹	₩ 493,492,453,519	₩ 493,492,453,519	₩ 493,492,453,519	₩ -	₩ -	₩ -
Lease liabilities	275,589,187,932	337,232,716,769	40,185,379,342	37,977,148,137	39,113,622,805	219,956,566,485
Debentures	918,898,895,840	955,442,966,575	344,830,692,603	610,612,273,972	-	-
	₩ 1,687,980,537,291	₩ 1,786,168,136,863	₩ 878,508,525,464	₩ 648,589,422,109	₩ 39,113,622,805	₩ 219,956,566,485

(in Korean won)

	December 31, 2025					
	Book amount	Contractual cash flows	Less than 1 year	1-2 years	2-3 years	More than 3 years
Trade and other payables ¹	₩ 271,638,078,349	₩ 271,638,078,349	₩ 271,638,078,349	₩ -	₩ -	₩ -
Lease liabilities	8,370,037,604	8,628,336,451	7,505,916,809	662,148,465	275,397,398	184,873,779
Debentures	918,724,421,281	962,706,780,274	347,093,958,356	615,612,821,918	-	-
	₩ 1,198,732,537,234	₩ 1,242,973,195,074	₩ 626,237,953,514	₩ 616,274,970,383	₩ 275,397,398	₩ 184,873,779

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions involved in the supplier financing arrangements maintain sound financial positions, and the Group is not subject to significant liquidity risk concentration related to these institutions (Note 30.(11)).

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(d) *Currency risk*

The Group is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Group establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) *Exposure to currency risk*

The Group's exposure to foreign currency risk as of March 31, 2026 and December 31, 2025, are as follows:

		March 31, 2026			
		USD	EUR	JPY	GBP
Assets :					
Cash equivalents	₩	215,072,012,361	₩ -	₩ -	-
Trade and other receivables		549,434,984,549	560,021,633	58,197,065	2,920,103,576
Contract assets - unbilled		20,580,372,992	-	-	-
		<u>785,087,369,902</u>	<u>560,021,633</u>	<u>58,197,065</u>	<u>2,920,103,576</u>
Liabilities :					
Trade and other payables		94,731,204,095	2,511,546,960	250,335,256	704,012,715
	₩	<u>690,356,165,807</u>	₩ <u>(1,951,525,327)</u>	₩ <u>(192,138,191)</u>	₩ <u>2,216,090,861</u>

		December 31, 2025			
		USD	EUR	JPY	GBP
Assets :					
Cash equivalents	₩	70,098,211,301	₩ -	₩ -	-
Trade and other receivables		655,824,342,304	329,578,489	170,776,779	1,901,019,861
Contract assets - unbilled		23,470,821,234	-	-	-
		<u>749,393,374,839</u>	<u>329,578,489</u>	<u>170,776,779</u>	<u>1,901,019,861</u>
Liabilities :					
Trade and other payables		13,368,225,415	2,678,036,930	132,738,740	602,281,744
	₩	<u>736,025,149,424</u>	₩ <u>(2,348,458,441)</u>	₩ <u>38,038,039</u>	₩ <u>1,298,738,117</u>

(ii) The significant exchange rates applied for the three-month period ended March 31, 2026 and the period ended December 31, 2025, are as follows:

	2026		2025	
	Average rate	March 31, 2026	Average rate	December 31, 2025
USD	₩ 1,462.20	₩ 1,513.40	₩ 1,421.89	₩ 1,434.90
EUR	1,711.81	1,733.37	1,605.82	1,685.72
JPY(100 ¥)	932.42	946.73	950.83	917.63
GBP	1,970.99	1,993.37	1,873.91	1,932.31

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(iii) Sensitivity analysis

The Group internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Group's income before tax for the period. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

<i>(in Korean won)</i>	March 31, 2026		December 31, 2025	
	10% increase	10% decrease	10% increase	10% decrease
USD	₩ 69,035,616,581	₩ (69,035,616,581)	₩ 73,602,514,942	₩ (73,602,514,942)
EUR	(195,152,533)	195,152,533	(234,845,844)	234,845,844
JPY(100 ¥)	(19,213,819)	19,213,819	3,803,804	(3,803,804)
GBP	221,609,086	(221,609,086)	129,873,812	(129,873,812)

(e) Capital management

The Group's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Group may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as at March 31, 2026 and December 31, 2025, are as follows:

<i>(in Korean won)</i>	March 31, 2026	December 31, 2025
Total liabilities (A)	₩ 4,072,163,846,703	₩ 3,609,631,328,852
Total equity (B)	7,922,835,735,735	7,451,110,647,985
Debt-to-equity ratio (A/B)	51.40%	48.44%

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34. Spin-off

The Group resolved on May 22, 2025 to spin off Samsung Bioepis Co., Ltd. in order to concentrate its capabilities on specialized business areas and to enhance sustainable growth potential. Following approval of the agenda item at the shareholders' meeting on October 17, 2025, the Group carried out a human spin-off with Samsung Epis Holdings Co., Ltd. established as a newly incorporated entity, with the effective date of November 1, 2025. The comparative condensed consolidated interim statements of comprehensive income have been restated to present the discontinued operations separately from continuing operations.

(a) Key details of the spin-off

Category	Description
Method of spin-off	Human spin-off
Surviving entity	Samsung Biologics Co., Ltd.
Newly established entity	Samsung Epis Holdings Co., Ltd.
Effective date of spin-off	November 1, 2025

(b) Changes in assets and liabilities resulting from the spin-off

The difference in the carrying amounts of the assets and liabilities transferred as a result of the spin-off was adjusted in equity in the financial statements.

(in Korean won)

	November 1, 2025
Current assets	₩ 1,634,915,769,810
Non-current assets	5,611,273,886,960
Total assets	7,246,189,656,770
Current liabilities	997,512,631,220
Non-current liabilities	1,108,165,297,233
Total liabilities	2,105,677,928,453
Net assets	5,140,511,728,317

(c) Overview of discontinued operations

(in Korean won)

	March 31, 2025
Revenue	₩ 298,728,303,789
Cost of sales	107,885,000,032
Selling, general and administrative expenses	134,394,116,507
Operating profit	56,449,187,250
Profit before income tax	60,284,594,547
Profit from discontinued operations	44,220,490,276

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(d) Cash flows generated from discontinued operations

<i>(in Korean won)</i>	March 31, 2025
Cash flows from operating activities	₩ 94,550,364,817
Cash flows from investing activities	(20,074,462,841)
Cash flows from financing activities	(258,390,015)
Net cash flows	74,217,511,961

In accordance with Article 530-9, Paragraph 1 of the Korean Commercial Act, the surviving company and the newly established company are jointly and severally liable for certain liabilities of the Company prior to the spin-off.

35. Business Combination

On March 31, 2026, Samsung Biologics America, Inc., a subsidiary of the Parent Company, acquired a 100% equity interest in Human Genome Sciences, Inc. to strengthen the Group's global business competitiveness through enhanced biopharmaceutical development capabilities.

(a) Key details of the business combination

Category	Description
Name of acquired company	Human Genome Sciences, Inc.
Purpose of acquisition	To strengthen global business competitiveness through enhanced biopharmaceutical development capabilities
Country of incorporation	USA
Principal activities	Pharmaceutical manufacturing

(b) Fair value of identifiable assets acquired and liabilities assumed as of the acquisition date

<i>(in Korean won)</i>	March 31, 2026
Cash and cash equivalents	₩ 665,798,991
Trade and other receivables	90,901,009
Inventories	98,412,176,466
Other assets	3,031,756,141
Property, plant and equipment, and right-of-use assets	730,551,706,080
Intangible assets	7,069,027,867
Deferred tax assets (liabilities)	(30,789,584,200)
Lease liabilities and other liabilities	(274,698,451,893)
Identifiable net assets	534,333,330,461
Consideration transferred	₩ 534,333,330,461

1 The amounts of identifiable net assets recognized from the business combination during the current quarter are provisionally determined and are subject to change upon completion of the final valuation.

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36. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission (“SFC”) imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Group for alleged failure to disclose sufficient information in the Group’s Financial Statements from 2012 to 2015 regarding the Group’s joint venture agreement with Biogen Therapeutics Inc. The measures (“First measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group’s executives in charge; and iii) prosecution against the Group and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Group for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to the first half of 2018. The measures (“Second measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group’s representative director (CEO) and executives in charge; iii) referral of the case against the Group and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of 8 billion won on November 21, 2018.

The Group filed a complaint for the cancellation of the measures taken by the Securities and Futures Commission and the Financial Services Commission on October 8, 2018 (first measure) and November 27, 2018 (second measure) to substantiate the legitimacy of the accounting treatment. The cancellation lawsuit for the first measure has been finalized, while the cancellation lawsuit for the second measure is ongoing.

Regarding the cancellation lawsuit related to the first measure, on September 24, 2020, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the Group by the Securities and Futures Commission and decided to suspend the effect of the disposition until the appellate court ruling. However, on October 16, 2020, the Securities and Futures Commission appealed the first instance ruling. On June 11, 2025, the Seoul High Court dismissed the appeal by the Securities and Futures Commission, and although the Commission filed an appeal against the ruling on June 30, 2025, the Supreme Court dismissed the appeal on September 25, 2025, thereby finalizing the full acceptance of the Group's cancellation claim. Regarding the cancellation lawsuit related to the second measure, on August 14, 2024, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the Group by the Securities and Futures Commission. However, on August 28, 2024, the Securities and Futures Commission appealed the first-instance ruling, and the lawsuit is currently ongoing at the Seoul High Court.

In addition, the Group submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on December 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC’s measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Group loses the administrative lawsuits, the consolidated financial statements from 2012 to 2022 could potentially be restated.

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If the Group's consolidated financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's consolidated interim financial statements in 2026.

With respect to this matter, the investigation by the prosecutor against the Group's former CEO, CFO and others for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act was carried out. In 2021, the Group's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act.

On February 5, 2024, the Seoul Central District Court acquitted to the Group's former CEO and CFO on charges of violation of the Act on External Audit of Stock Companies, and the prosecutor appealed the Court's acquittal on February 8, 2024. On February 3, 2025, the Seoul High Court dismissed the prosecution's appeal. Subsequently, on February 7, 2025, the prosecution filed an appeal to the Supreme Court against the appellate court's decision. On July 17, 2025, the Supreme Court dismissed the prosecution's appeal, thereby finalizing the acquittal of the former CEO and former CFO. In addition, on February 14, 2024, the Seoul Central District Court acquitted to the Group's former CEO and CFO for alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act. With respect to the allegations of evidence destruction, the former CEO was acquitted, and the CFO received suspended sentence. The prosecutor appealed the Court's first trial on February 20, 2024, and the CFO who received suspended sentence appealed the Court's first trial on February 21, 2024.

Meanwhile, on December 9, 2019, executives and employees of the Parent Company, who had been indicted on charges including the destruction of evidence related to a search and seizure by the prosecution, were convicted in the first trial at the Seoul Central District Court for violating the Act on External Audit of Stock Companies and the Criminal Act.

If the Group's consolidated financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's consolidated interim financial statements in 2026 mainly due to the elimination of fair value valuation for Samsung Bioepis in 2015